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forming part of the consolidated financial statements

5. Goodwill

[Item No. I(d), Page F142]

	Year ended March 31, 2026	Year ended March 31, 2025
	(₹ crore)	
Cost as at beginning of the year	7,714.19	7,421.24
Addition relating to acquisitions	961.87	-
Exchange differences on consolidation	841.08	292.95
Cost as at end of the year	9,517.14	7,714.19
Impairment as at beginning of the year	1,755.66	1,675.94
Exchange differences on consolidation	227.68	79.72
Impairment as at end of the year	1,983.34	1,755.66
Net book value as at beginning of the year	5,958.53	5,745.30
Net book value as at end of the year	7,533.80	5,958.53

- (i) The carrying value of goodwill includes **₹5,341.52** crore (March 31, 2025: ₹4,486.04 crore) that arose on the acquisition of erstwhile Corus Group Plc. and has been tested in the current year against the recoverable amount of Tata Steel Netherland (TSN) cash generating unit (CGU) by the Group. This goodwill relates to expected synergies from combining activities with those of the Group and to assets, which could not be recognised as separately identifiable intangible assets. The goodwill is tested annually for impairment or more frequently if there are any indications that the goodwill may be impaired. Also refer note 3(iii), page F166 and note 51, page F265.

The outcome of the Group's goodwill impairment as at March 31, 2026 for TSN CGU resulted in no impairment of goodwill (2024- 25: Nil).

The Group has conducted sensitivity analysis on the impairment assessment of goodwill. The Group believes that no reasonably possible change in any of the key assumptions used in the model would cause the carrying value of goodwill to materially exceed its recoverable value.

- (ii) The carrying value of goodwill includes **₹1,195.69** crore (March 31, 2025: ₹1,195.69 crore) that arose on the acquisition of Neelachal Ispat Nigam Limited (NINL) through erstwhile Tata Steel Long Products Limited. The recoverable value of NINL has been assessed using fair value less costs to sell using cash flow forecasts based on the most recently approved business plan for financial year 2026-27. Beyond financial year 2026-27, the cash flow forecasts is based on strategic forecasts which cover a period of nine years and future projections taking the analysis out to perpetuity. It also includes capital expenditure for capacity expansion of steel making facilities from the current 1.10 MTPA to 5.90 MTPA by financial year 2031-32 as well as estimated EBITDA changes due to implementation of the expansion strategy and operating the assets.

Key assumptions to the fair value less costs to sell model are changes to selling prices and raw material costs, steel demand, amount of capital expenditure needed for expansion of the existing facilities, EBITDA and post-tax discount rate of **12.50%** (March 31, 2025: 13.00%). The estimates are based on management's best estimates of implementing the expansion strategy.

A terminal growth rate of **4.00%** (March 31, 2025: 4.00%) has been used to extrapolate the cash flows beyond the specifically forecasted period.

The outcome of the impairment assessment as on March 31, 2026 has not resulted in any impairment of Goodwill.

The Group has conducted sensitivity analysis on the impairment assessment of goodwill. The Group believes that no reasonably possible change in any of the key assumptions used in the model would cause the carrying value of goodwill to materially exceed its recoverable value.

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6. Other intangible assets

[Item No. I(e) and I(f), Page F142]

(₹ crore)

	Patents and trademarks	Development costs	Software costs	Brand Value	Mining Assets	Other intangible assets	Total
Cost/deemed cost as at April 1, 2025	32.85	149.13	1,630.39	-	18,608.95	641.30	21,062.62
Addition relating to acquisitions	-	-	8.48	499.60	-	7.38	515.46
Additions	0.08	-	372.80	-	63.00	0.14	436.02
Disposals	-	-	(4.44)	-	(20.05)	(0.02)	(24.51)
Disposal of group undertakings	-	-	(0.02)	-	-	(0.32)	(0.34)
Other re-classifications	-	0.25	0.79	-	48.36	0.21	49.61
Exchange differences on consolidation	4.22	26.60	233.94	-	797.24	0.52	1,062.52
Cost/deemed cost as at March 31, 2026	37.15	175.98	2,241.94	499.60	19,497.50	649.21	23,101.38
Accumulated impairment as at April 1, 2025	8.46	22.32	54.71	-	4,698.38	540.15	5,324.02
Exchange differences on consolidation	1.15	3.03	8.94	-	484.24	-	497.36
Accumulated impairment as at March 31, 2026	9.61	25.35	63.65	-	5,182.62	540.15	5,821.38
Accumulated amortisation as at April 1, 2025	17.94	126.81	1,126.91	-	2,777.08	37.45	4,086.19
Additions relating to acquisitions	-	-	0.83	-	-	-	0.83
Charge for the year	0.17	0.02	146.07	5.00	415.56	7.19	574.01
Disposals	-	-	(3.70)	-	(19.59)	-	(23.29)
Disposal of group undertakings	-	-	(0.02)	-	-	(0.10)	(0.12)
Other re-classifications	(0.12)	-	(20.51)	-	3.88	-	(16.75)
Exchange differences on consolidation	2.17	23.57	139.87	-	69.59	0.47	235.67
Accumulated amortisation as at March 31, 2026	20.16	150.40	1,389.45	5.00	3,246.52	45.01	4,856.54
Total accumulated amortisation and impairment as at March 31, 2026	29.77	175.75	1,453.10	5.00	8,429.14	585.16	10,677.92
Net carrying value as at April 1, 2025	6.45	-	448.77	-	11,133.49	63.70	11,652.41
Net carrying value as at March 31, 2026	7.38	0.23	788.84	494.60	11,068.36	64.05	12,423.46

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6. Other intangible assets (Contd.)

[Item No. I(e) and I(f), Page F142]

(₹ crore)

	Patents and trademarks	Development costs	Software costs	Brand Value	Mining Assets	Other intangible assets	Total
Cost/deemed cost as at April 1, 2024	31.17	320.02	1,424.91	-	18,412.44	708.92	20,897.46
Additions	-	12.28	168.30	-	24.24	0.66	205.48
Disposals	-	(188.11)	(3.26)	-	-	-	(191.37)
Other re-classifications	-	(0.16)	8.01	-	(3.41)	(68.58)	(64.14)
Exchange differences on consolidation	1.68	5.10	32.43	-	175.68	0.30	215.19
Cost/deemed cost as at March 31, 2025	32.85	149.13	1,630.39	-	18,608.95	641.30	21,062.62
Accumulated impairment as at April 1, 2024	13.05	9.26	58.91	-	4,591.16	540.15	5,212.53
Charge for the year	-	12.28	6.42	-	-	-	18.70
Other re-classifications	(5.11)	-	(12.36)	-	-	-	(17.47)
Exchange differences on consolidation	0.52	0.78	1.74	-	107.22	-	110.26
Accumulated impairment as at March 31, 2025	8.46	22.32	54.71	-	4,698.38	540.15	5,324.02
Accumulated amortisation as at April 1, 2024	11.63	310.76	968.03	-	2,329.91	119.55	3,739.88
Charge for the year	0.34	-	115.55	-	342.45	6.92	465.26
Disposals	-	(188.11)	(3.30)	-	-	-	(191.41)
Other re-classifications	5.11	(0.16)	25.84	-	92.97	(89.29)	34.47
Exchange differences on consolidation	0.86	4.32	20.79	-	11.75	0.27	37.99
Accumulated amortisation as at March 31, 2025	17.94	126.81	1,126.91	-	2,777.08	37.45	4,086.19
Total accumulated amortisation and impairment as at March 31, 2025	26.40	149.13	1,181.62	-	7,475.46	577.60	9,410.21
Net carrying value as at April 1, 2024	6.49	-	397.97	-	11,491.37	49.22	11,945.05
Net carrying value as at March 31, 2025	6.45	-	448.77	-	11,133.49	63.70	11,652.41

- (i) Mining assets represent expenditure incurred in relation to acquisition of mines, mine development expenditure post establishment of technical and commercial feasibility and restoration obligations as per applicable regulations. As on March 31, 2026, the useful life of mining assets ranges between 22 to 40 years (March 31, 2025: 23 to 41 years).
- (ii) During the year ended March 31, 2026, the Group has not recognised any impairment charge (2024-25: ₹6.42 crore) in respect of intangible assets in its European operations. The impairment charged during the year ended March 31, 2025, is included within exceptional items in the consolidated statement of profit and loss.
- (iii) Other intangible assets were tested for impairment during the year where indicators of impairment existed. Intangible assets under development are tested for impairment annually.

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6. Other intangible assets (Contd.)

[Item No. I(e) and I(f), Page F142]

(iv) Ageing of intangible assets under development is as below:

As at March 31, 2026

(₹ crore)

	Amount in intangible assets under development for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Project in progress	189.12	262.12	45.51	489.67	986.42
Total	189.12	262.12	45.51	489.67	986.42

As at March 31, 2025

(₹ crore)

	Amount in intangible assets under development for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Project in progress	284.47	94.20	150.75	491.05	1,020.47
Total	284.47	94.20	150.75	491.05	1,020.47

(v) The expected completion of amounts lying in intangible assets under development which are overdue are as below:

As at March 31, 2026

(₹ crore)

	Amount of intangible assets under development to be completed in			
	Less than 1 year	1-2 years	2-3 years	More than 3 years
Projects in progress:				
Tata steel India:				
Sustenance projects	268.65	-	-	-
Environment, safety and compliance	-	-	-	-
	268.65	-	-	-
Tata Steel Netherland Operations:				
Sustenance projects	44.05	67.36	-	-
	44.05	67.36	-	-

As at March 31, 2025

(₹ crore)

	Amount of intangible assets under development to be completed in			
	Less than 1 year	1-2 years	2-3 years	More than 3 years
Projects in progress:				
Tata steel India:				
Sustenance projects	168.08	87.22	-	9.11
Environment, safety and compliance	0.39	-	-	-
	168.47	87.22	-	9.11
Tata Steel Netherland Operations:				
Growth projects	49.32	37.38	14.43	121.90
	49.32	37.38	14.43	121.90

(vi) Net additions to intangible assets under development during the year is ₹406.87 crore (2024-25: ₹253.60 crore).

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7. Equity accounted investments

[Item No. I(g), Page F142]

(a) Investment in associates:

- (i) The Group has no material associates as on March 31, 2026. The aggregate summarised financial information in respect of the Group's immaterial associates accounted for using the equity method is as below:

	As at March 31, 2026	As at March 31, 2025
Carrying value of Group's interest in associates*	326.79	298.21

	Year ended March 31, 2026	Year ended March 31, 2025
Group's share in profit/(loss) for the year of associates*	16.15	16.33
Group's share in total comprehensive income for the year of associates	16.15	16.33

- (ii) Fair value of investments in equity accounted associates for which published price quotation is available, which is a Level 1 input as on March 31, 2026 is ₹81.46 crore (March 31, 2025: ₹131.51 crore). The carrying value of such investments is Nil (March 31, 2025: Nil) as the Group's share of losses in such associates exceeds the cost of investments made.
- (iii) Share of unrecognised loss in respect of equity accounted associates amounted to Nil crore for the year ended March 31, 2026 (2024-25: Nil). Cumulative share of unrecognised losses in respect of equity accounted associates as on March 31, 2026 amounted to ₹127.46 crore (March 31, 2025: ₹127.49 crore).

(b) Investment in joint ventures:

- (i) The Group holds more than 50% of the equity share capital in TM International Logistics Limited, Jamshedpur Continuous Annealing & Processing Company Private Limited and Naba Diganta Water Management Limited. However, decisions in respect of activities which significantly affect the risks and rewards of these businesses, require a unanimous consent of all the shareholders. These entities have therefore been considered as joint ventures.
- (ii) The Group has no material joint ventures as at March 31, 2026. The aggregate summarised financial information in respect of the Group's immaterial joint ventures accounted for using the equity method is as below.

	As at March 31, 2026	As at March 31, 2025
Carrying value of Group's interest in joint ventures*	2,616.68	2,672.65

	Year ended March 31, 2026	Year ended March 31, 2025
Group's share in profit/(loss) for the year of joint ventures*	352.35	174.48
Group's share in other comprehensive income for the year of joint ventures	20.55	9.48
Group's share in total comprehensive income for the year of joint ventures	372.90	183.96

- (iii) Share of unrecognised losses in respect of equity accounted joint ventures amounted to ₹0.70 crore for the year ended March 31, 2026 (2024-25: ₹187.91 crore). Cumulative share of unrecognised losses in respect of equity accounted joint ventures as at March 31, 2026 amounted to ₹1,670.94 crore (March 31, 2025: ₹1,812.39 crore).

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7. Equity accounted investments (Contd.)

[Item No. I(g), Page F142]

(c) Summary of carrying value of Group's interest in equity accounted investees:

	As at March 31, 2026	As at March 31, 2025
Carrying value of immaterial associates	326.79	298.21
Carrying value of immaterial joint ventures	2,616.68	2,672.65
	2,943.47	2,970.86

(₹ crore)

(d) Summary of Group's share in profit/(loss) for the year of equity accounted investees:

	Year ended March 31, 2026	Year ended March 31, 2025
Share of profit/(loss) of immaterial associates	16.15	16.33
Share of profit/(loss) of immaterial joint ventures	352.35	174.48
	368.50	190.81

(₹ crore)

(e) Summary of Group's share in other comprehensive income for the year of equity accounted investees:

	Year ended March 31, 2026	Year ended March 31, 2025
Share of other comprehensive income of immaterial joint ventures	20.55	9.48
	20.55	9.48

(₹ crore)

*Group's share in net assets and profit/(loss) of equity accounted investees has been determined after giving effect for subsequent amortisation/depreciation and other adjustments arising on account of fair value adjustments made to the identifiable net assets of the equity accounted investees as at the date of acquisition and other adjustment e.g. unrealised profits on inventories etc., arising under the equity method of accounting.

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8. Investments

[Item No. I(h)(i) and II(b)(i), Page F142]

A. Non-Current

	As at March 31, 2026	As at March 31, 2025
(₹ crore)		
(a) Investments carried at amortised cost:		
Investment in government or trust securities	23.76	19.73
	23.76	19.73
(b) Investments carried at cost/deemed cost:		
Investment in equity shares*	278.78	252.73
	278.78	252.73
(c) Investments carried at fair value through other comprehensive income:		
Investment in equity shares [#]	2,367.04	2,322.94
Investment in preferred stocks [#]	239.31	-
	2,606.35	2,322.94
(d) Investments carried at fair value through profit and loss:		
Investment in preference shares	176.88	139.73
Investment in equity shares	56.07	45.47
	232.95	185.20
	3,141.84	2,780.60

B. Current

	As at March 31, 2026	As at March 31, 2025
(₹ crore)		
(a) Investment carried at fair value through profit and loss:		
Investment in Mutual Funds- quoted	0.11	0.11
Investment in Mutual Funds- Unquoted	1,003.43	442.54
	1,003.54	442.65

(i) Carrying value and market value of quoted and unquoted investments is as below:

	As at March 31, 2026	As at March 31, 2025
(₹ crore)		
(a) Investments in quoted instruments:		
Aggregate carrying value	1,898.63	1,908.89
Aggregate market value	1,898.63	1,908.89
(b) Investments in unquoted instruments:		
Aggregate carrying value	2,246.75	1,314.36

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8. Investments (Contd.)

[Item No. I(h)(i) and II(b)(i), Page F142]

- (ii) The Company and its subsidiaries, associate companies and joint ventures, which are companies incorporated in India, have not advanced or loaned or invested funds (either borrowed funds or share premium or any other sources or kind of funds) to any other person or entity, including foreign entities ("Intermediaries") with the understanding (whether recorded in writing or otherwise) that the Intermediaries shall, whether, directly or indirectly lend or invest in other persons/entities identified in any manner whatsoever by or on behalf of the aforesaid Company and its subsidiaries, associate companies and joint ventures ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries, other than investments made by the Company aggregating **₹12.50** crore in a subsidiary, Tata Steel Advanced Materials Limited and **₹22,398.70** crore in a subsidiary, T Steel Holdings Pte. Ltd. (2024-25: ₹22.00 crore in Tata Steel Advanced Materials Limited) and as set out in note 9(iv), page F182, in the ordinary course of business and in keeping with the applicable regulatory requirements for onward funding to certain Indian/overseas subsidiaries of the Company towards meeting their business requirements and/or loan repayments. Accordingly, no further disclosure, in this regard, is required. The aforesaid investments have been eliminated in the consolidated financial statements.
- (iii) The Company and its subsidiaries, associate companies and joint ventures, which are companies incorporated in India, have not received any fund from any person(s) or entity(ies), including foreign entities ("Funding Party") with the understanding (whether recorded in writing or otherwise) that the aforesaid Company and its subsidiaries, associate companies and joint ventures shall directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries, other than funds received by Tata Steel Advanced Materials Limited as set out in the above note in the ordinary course of business and in keeping with the applicable regulatory requirements for onward funding to certain subsidiaries of the Company towards meeting their business requirements. Accordingly, no further disclosure, in this regard, is required. The aforesaid investments have been eliminated in the consolidated financial statements.

*The Group has restricted access to returns associated with its ownership interest in the investment. Accordingly, the investment is not equity accounted in the consolidated financial statements.

"Includes unquoted instruments for which cost has been considered as an appropriate estimate of fair value because of a wide range of possible fair value measurements and cost represents the best estimate of fair value within that range.

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9. Loans

[Item No. I(h)(ii) and II(b)(v), Page F142]

A. Non-current

	As at March 31, 2026	As at March 31, 2025
(₹ crore)		
(a) Loans to related parties:		
Considered good - Unsecured	7.46	6.57
Credit impaired	260.09	229.04
Less: Allowance for credit losses	260.09	229.04
	7.46	6.57
(b) Other loans:		
Considered good - Unsecured	118.74	108.09
Credit impaired	213.50	152.93
Less: Allowance for credit losses	213.50	152.93
	118.74	108.09
	126.20	114.66

B. Current

	As at March 31, 2026	As at March 31, 2025
(₹ crore)		
(a) Loans to related parties:		
Considered good - Unsecured	-	-
Credit impaired	1,138.31	1,026.45
Less: Allowance for credit losses	1,138.31	1,026.45
	-	-
(b) Other loans:		
Considered good - Unsecured	3.35	4.98
Credit impaired	9.60	9.60
Less: Allowance for credit losses	9.60	9.60
	3.35	4.98
	3.35	4.98

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9. Loans (Contd.)

[Item No. I(h)(ii) and II(b)(v), Page F142]

- (i) Non-current loans to related parties represents loan given to joint ventures **₹260.09** crore (March 31, 2025: ₹229.04 crore) and associates **₹7.46** crore (March 31, 2025: ₹6.57 crore). Out of loans given to joint ventures, **₹260.09** crore (March 31, 2025: ₹229.04 crore) is impaired.
- (ii) Current loans to related parties represent loans/advances given to joint ventures **₹1,138.31** crore (March 31, 2025: ₹1,026.45 crore). Out of which **₹1,138.31** crore (March 31, 2025: ₹1,026.45 crore) is impaired.
- (iii) Other loans primarily represent loans given to employees.
- (iv) The Company and its subsidiaries, associate companies and joint ventures, which are companies incorporated in India, have not advanced or loaned or invested funds (either borrowed funds or share premium or any other sources or kind of funds) to any other person or entity, including foreign entities ("Intermediaries") with the understanding (whether recorded in writing or otherwise) that the Intermediaries shall, whether, directly or indirectly lend or invest in other persons/entities identified in any manner whatsoever by or on behalf of the aforesaid Company and its subsidiaries, associate companies and joint ventures ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries, other than loans advanced by the Company aggregating **Nil** (2024-25: ₹1,041.88 crore to T Steel Holdings Pte. Ltd.) and as set out in note 8 (ii), page F180, in the ordinary course of business and in keeping with the applicable regulatory requirements for onward funding to certain Indian/overseas subsidiaries of the Company towards meeting their business requirements. Accordingly, no further disclosure, in this regard, is required. The aforesaid loans have been eliminated in the consolidated financial statements.
- (v) The Company and its subsidiaries, associate companies and joint ventures, which are companies incorporated in India, have not received any fund from any person(s) or entity(ies), including foreign entities ("Funding Party") with the understanding (whether recorded in writing or otherwise) that the aforesaid Company and its subsidiaries, associate companies and joint ventures shall directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries other than as set out in note 8 (iii), page F180.
- (vi) There are no outstanding loans/advances in nature of loan from promoters, directors, key management personnel or other officers of the Company.

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10. Other financial assets

[Item No. I(h)(iv) and II(b)(vii), Page F142]

A. Non-current

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
(a) Security deposits:		
Considered good - Unsecured	390.54	331.20
Credit impaired	116.11	116.27
Less: Allowance for credit losses	116.11	116.27
	390.54	331.20
(b) Interest accrued on deposits, loans and advances:		
Considered good - Unsecured	0.01	0.17
	0.01	0.17
(c) Earmarked balances with banks	298.07	107.78
(d) Other balances with banks	20.56	24.57
(e) Others:		
Considered good - Unsecured	119.41	1,198.62
Credit impaired	5.57	20.65
Less: Allowance for credit losses	5.57	20.65
	119.41	1,198.62
	828.59	1,662.34

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10. Other financial assets (Contd.)

[Item No. I(h)(iv) and II(b)(vii), Page F142]

B. Current

	As at March 31, 2026	As at March 31, 2025
(₹ crore)		
(a) Security deposits:		
Considered good - Unsecured	36.60	57.32
Credit impaired	2.28	2.28
Less: Allowance for credit losses	2.28	2.28
	36.60	57.32
(b) Interest accrued on deposits, loans and advances:		
Considered good - Unsecured	73.35	146.72
	73.35	146.72
(c) Earmarked balances with banks	102.90	-
(d) Other balances with banks	90.55	-
(e) Others:		
Considered good - Unsecured	2,093.10	1,252.10
Credit impaired	149.91	146.55
Less: Allowance for credit losses	149.91	146.55
	2,093.10	1,252.10
	2,396.50	1,456.14

- (i) Security deposits are primarily in relation to public utility services and rental agreements. It includes deposit with Tata Sons Private Limited ₹11.25 crore (March 31, 2025: ₹11.25 crore).
- (ii) Non-current and current earmarked balances with banks represent deposits in escrow account. These are primarily placed as security with government bodies, margin money against issue of bank guarantees, etc.
- (iii) Other non-current balances with banks represent bank deposits not due for realisation within 12 months from the balance sheet date.
- (iv) Current other financial assets include amount receivable from post-employment benefit funds ₹83.92 crore (March 31, 2025: ₹153.47 crore) on account of retirement benefit obligations paid by the Group directly.
- (v) Non-current and current other financial assets include:
 - a) lease receivable of ₹1,012.14 crore recognised on account of long-term arrangement with an erstwhile joint venture (currently, it is a subsidiary) on de-recognition of assets as on March 31, 2025.
 - b) advance paid in respect of de-allocated coal blocks ₹487.71 crore (March 31, 2025: ₹487.71 crore) which is recoverable from the new allottee once the mine is allotted.

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11. Retirement benefit assets and obligations

[Item No. I(i), II(c), V(c) and VI(c), Page F142 and F143]

(I) Retirement benefit assets

A. Non-current

	As at March 31, 2026	As at March 31, 2025
(a) Pension	15.86	12.67
(b) Retiring gratuities	70.52	-
	86.38	12.67

B. Current

	As at March 31, 2026	As at March 31, 2025
(a) Retiring gratuities	-	2.33
	-	2.33

(II) Retirement benefit obligations

A. Non-current

	As at March 31, 2026	As at March 31, 2025
(a) Pension	679.42	600.10
(b) Retiring gratuities	67.07	385.29
(c) Post-retirement medical benefits	2,042.16	1,758.09
(d) Other defined benefits	500.98	528.53
	3,289.63	3,272.01

B. Current

	As at March 31, 2026	As at March 31, 2025
(a) Pension	2.89	20.47
(b) Retiring gratuities	9.89	8.10
(c) Post-retirement medical benefits	107.55	96.49
(d) Other defined benefits	28.30	29.56
	148.63	154.62

- (i) Detailed disclosure in respect of post-retirement defined benefit schemes is provided in note 36, page F220.
- (ii) Other defined benefits include shortfall on account of interest cost on provident fund of ₹24.42 crore (March 31, 2025: ₹24.42 crore).

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12. Income taxes

[Item No. I(k), V(e) and IX, Page F142, F143 and F144]

A. Income tax expenses/(benefit)

Indian companies are subject to income tax in India on the basis of their standalone financial statements. Indian companies can claim tax exemptions/deductions under specific sections of the Income-tax Act, 1961 subject to fulfilment of prescribed conditions as may be applicable. The Company and some of its Indian subsidiaries had opted for the new tax regime under Section 115BAA of the Act, which provides a domestic company with an option to pay tax at a rate of 22% (effective rate of 25.168%). The lower rate shall be applicable subject to certain conditions, including that the total income should be computed without claiming specific deduction or exemptions.

As per the tax laws, business loss can be carried forward for a maximum period of eight assessment years immediately succeeding the assessment year to which the loss pertains. Unabsorbed depreciation can be carried forward for an indefinite period.

Apart from India, major tax jurisdictions for the Group include Singapore, United Kingdom and Netherlands. The number of years that are subject to tax assessments varies depending on the tax jurisdiction.

The Organisation for Economic Cooperation and Development (OECD) has released the model rules for global minimum tax ('Pillar Two rules'). Pillar Two rules have been enacted or substantively enacted in most jurisdictions in which the Group operates. It applies to Groups with consolidated annual revenues of €750m or more and are designed to ensure that such Groups pay a minimum level of tax of 15% in each jurisdiction in which they operate. The Group is within the scope of the OECD Pillar Two rules. Based on the current assessment, the Group does not expect a material financial impact to Pillar Two rules on its consolidated financial statement. In accordance with Amendments to Ind AS 12, the Group applies the mandatory relief from accounting for deferred tax pursuant to the implementation of Pillar Two rules.

The reconciliation of estimated income tax to income tax expense is as below:

	Year ended March 31, 2026	Year ended March 31, 2025
Profit/(loss) before tax	15,968.69	8,412.87
Income tax expenses at tax rates applicable to individual entities	3,859.41	2,082.36
(a) Income exempt from tax/items not deductible	289.16	510.86
(b) Undistributed earnings of joint ventures and equity accounted investees	(8.64)	7.45
(c) Deferred tax assets not recognised because realisation is not probable	1,528.26	2,975.77
(d) Adjustments to taxes in respect of prior periods	499.05	56.50
(e) Utilisation/credit of unrecognised tax losses, unabsorbed depreciation and other tax benefits	(952.23)	(584.88)
(f) Impact of changes in tax rates	(132.14)	191.03
Tax expenses as reported	5,082.87	5,239.09

(₹ crore)

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forming part of the consolidated financial statements

12. Income taxes (Contd.)

[Item No. I(k), V(e) and IX, Page F142, F143 and F144]

B. Deferred tax assets/(liabilities)

(i) Components of deferred tax assets and liabilities as at March 31, 2026 is as below:

(₹ crore)

	Balance as at April 1, 2025	Recognised/ (reversed) in profit and loss during the year	Recognised/ (reversed) in other comprehensive income during the year	Additions relating to acquisitions	Other movements during the year	Exchange differences on consolidation during the year	Balance as at March 31, 2026
Deferred tax assets:							
Tax-loss carry forwards	3,142.93	(747.48)	-	1.54	2,486.70	197.43	5,081.12
Expenses allowable for tax purposes when paid/written off	3,522.32	(9.42)	(1.17)	45.00	(2,984.09)	61.83	634.47
Others	298.18	1,364.42	(57.31)	(12.49)	618.45	269.80	2,481.05
	6,963.43	607.52	(58.48)	34.05	121.06	529.06	8,196.64
Deferred tax liabilities:							
Property, plant and equipment and Intangible assets	17,329.17	209.19	-	630.55	104.86	(8.91)	18,264.86
Retirement benefit assets/obligations	(266.33)	133.08	121.91	(2.08)	11.48	(13.31)	(15.25)
Others	394.52	86.75	-	-	4.69	53.82	539.78
	17,457.36	429.02	121.91	628.47	121.03	31.60	18,789.39
Net deferred tax assets/(liabilities)	(10,493.93)	178.50	(180.39)	(594.42)	0.03	497.46	(10,592.75)
Disclosed as:							
Deferred tax assets	3,936.22						4,739.49
Deferred tax liabilities	14,430.15						15,332.24
	(10,493.93)						(10,592.75)

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12. Income taxes (Contd.)

[Item No. I(k), V(e) and IX, Page F142, F143 and F144]

Components of deferred tax assets and liabilities as at March 31, 2025 is as below:

(₹ crore)

	Balance as at April 1, 2024	Recognised/ (reversed) in profit and loss during the year	Recognised/ (reversed) in other comprehensive income during the year	Additions relating to acquisitions	Other movements during the year	Exchange differences on consolidation during the year	Balance as at March 31, 2025
Deferred tax assets:							
Tax-loss carry forwards	4,015.61	(1,061.39)	-	-	153.33	35.38	3,142.93
Expenses allowable for tax purposes when paid/written off	4,367.14	(865.23)	1.02	-	(0.05)	19.44	3,522.32
Others	366.43	(105.80)	(1.07)	-	(0.04)	38.66	298.18
	8,749.18	(2,032.42)	(0.05)	-	153.24	93.48	6,963.43
Deferred tax liabilities:							
Property, plant and equipment and Intangible assets	17,646.11	(466.13)	-	-	151.56	(2.37)	17,329.17
Retirement benefit assets/obligations	(266.02)	(17.88)	22.52	-	-	(4.95)	(266.33)
Others	250.35	134.70	0.73	-	(0.05)	8.79	394.52
	17,630.44	(349.31)	23.25	-	151.51	1.47	17,457.36
Net deferred tax assets/(liabilities)	(8,881.26)	(1,683.11)	(23.30)	-	1.73	92.01	(10,493.93)
Disclosed as:							
Deferred tax assets	4,111.08						3,936.22
Deferred tax liabilities	12,992.34						14,430.15
	(8,881.26)						(10,493.93)

- (ii) Deferred tax assets have been recognised based on an evaluation of whether it is probable that taxable profits will be earned in future accounting periods considering all the available evidences, including approved budgets and forecasts by the Board of the respective entities.
- (iii) Deferred tax assets have not been recognised in respect of tax losses of ₹82,587.80 crore (March 31, 2025: ₹76,144.03 crore) as its recovery is not considered probable in the foreseeable future. Such losses primarily relate to the Group's European operations.
- (iv) Tax losses in respect of which deferred tax asset has not been recognised, expire unutilised based on the year of origination as below:

(₹ crore)

	As at March 31, 2026
Within five years	106.59
Later than five year but less than ten years	9.44
Later than ten years but less than twenty years	7,099.24
No expiry	75,372.53
	82,587.80

NOTES

forming part of the consolidated financial statements

12. Income taxes (Contd.)

[Item No. I(k), V(e) and IX, Page F142, F143 and F144]

- (v) Unused tax credits and other deductible temporary differences in respect of which deferred tax asset has not been recognised, expire unutilised based on the year of origination as below:

(₹ crore)

	As at March 31, 2026
Later than five year but less than ten years	14.77
Later than ten years but less than twenty years	466.91
No expiry	23,380.39
	23,862.07

- (vi) As at March 31, 2026, aggregate amount of temporary differences associated with undistributed earnings of subsidiaries for which deferred tax liability has not been recognised is **₹4,736.11** crore (March 31, 2025: ₹6,007.97 crore). No liability has been recognised in respect of such difference because the Group is in a position to control the timing of reversal of the temporary difference and it is probable that such difference will not reverse in the foreseeable future.

13. Other assets

[Item No. I(l) and II(e), Page F142]

A. Non-current

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
(a) Capital advances:		
Considered good - Unsecured	1,604.34	914.28
Considered doubtful - Unsecured	116.10	97.94
Less: Provision for doubtful advances	116.10	97.94
	1,604.34	914.28
(b) Advances with public bodies:		
Considered good - Unsecured	2,086.89	2,023.10
Considered doubtful - Unsecured	328.17	328.17
Less: Provision for doubtful advances	328.17	328.17
	2,086.89	2,023.10
(c) Capital advances to related parties:		
Considered good - Unsecured	71.74	51.04
(d) Others:		
Considered good - Unsecured	144.31	176.51
Considered doubtful - Unsecured	103.78	43.68
Less: Provision for doubtful advances	103.78	43.68
	144.31	176.51
	3,907.28	3,164.93

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forming part of the consolidated financial statements

13. Other assets (Contd.)

[Item No. I(l) and II(e), Page F142]

B. Current

	As at March 31, 2026	As at March 31, 2025
(₹ crore)		
(a) Capital advances:		
Considered good - unsecured	0.67	3.77
(b) Advance with public bodies:		
Considered good - Unsecured	4,313.57	3,320.83
Considered doubtful - Unsecured	10.46	10.11
Less: Provision for doubtful advances	10.46	10.11
	4,313.57	3,320.83
(c) Advances to related parties:		
Considered good - Unsecured	1,250.11	123.29
(d) Others:		
Considered good - Unsecured	35.98	1,090.55
Considered doubtful - Unsecured	200.07	195.17
Less: Provision for doubtful advances	200.07	195.17
	35.98	1,090.55
	5,600.33	4,538.44

- (i) Advances with public bodies primarily relate to input credit entitlements and amounts paid under protest in respect of demands and claims from regulatory authorities.
- (ii) Others include advanced against supply of goods/services and advances paid to employees.

14. Inventories

[Item No. II(a), Page F142]

	As at March 31, 2026	As at March 31, 2025
(₹ crore)		
(a) Raw materials	15,375.38	14,662.48
(b) Work-in-progress	6,620.78	5,435.59
(c) Finished and semi-finished goods	18,110.08	17,606.67
(d) Stock-in-trade	79.11	72.55
(e) Stores and spares	7,063.87	6,812.65
	47,249.22	44,589.94
Included above, goods-in-transit:[^]		
(i) Raw materials	3,444.12	2,759.60
(ii) Finished and semi-finished goods	508.18	237.93
(iii) Stock-in-trade	9.78	9.33
(iv) Stores and spares	56.66	113.06
	4,018.74	3,119.92

[^]Goods-in-transit represent amount of purchased material which are in transit as on date

- (i) Value of inventories above is stated after provisions (net of reversal) for slow-moving and obsolete items and write-downs to net realisable value **₹2,983.79** crore (March 31, 2025: ₹2,656.82 crore).
- (ii) The cost of inventories recognised as an expense includes reversal of **₹113.61** crore (March 31, 2025: charge of ₹270.39 crore) in respect of write-down of inventory to net realisable value.

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forming part of the consolidated financial statements

15. Trade receivables

[Item No. II(b)(ii), Page F142]

	As at March 31, 2026	As at March 31, 2025
Considered good-Unsecured	4,954.84	5,323.92
Credit impaired	308.76	219.33
	5,263.60	5,543.25
Less: Allowance for credit losses	346.71	283.19
	4,916.89	5,260.06

In determining allowance for credit losses of trade receivables, the Group has used the practical expedient by computing the expected credit loss allowance based on a provision matrix. The provision matrix takes into account historical credit loss experience and is adjusted for forward looking information. The expected credit loss allowance is based on ageing of receivables that are due and the rates used in provision matrix.

(i) Movement in allowance for credit losses of receivables is as below:

	Year ended March 31, 2026	Year ended March 31, 2025
Balance at the beginning of the year	283.19	334.57
Charge/(released) during the year	48.81	(54.28)
Addition relating to acquisitions	3.50	-
Exchange differences on consolidation	11.21	2.90
Balance at the end of the year	346.71	283.19

(ii) Ageing of trade receivable and credit risk arising therefrom is as below:

As at March 31, 2026

	Not due	Outstanding for the following periods from the due date of payment					Total
		Less than 6 months	6 months- 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed - considered good	3,800.70	727.36	177.99	123.83	25.04	76.39	4,931.31
Undisputed - credit impaired	2.27	46.37	2.35	3.57	12.00	108.90	175.46
Disputed - considered good	-	0.51	2.41	0.64	-	12.99	16.55
Disputed - credit impaired	-	-	1.03	7.50	1.04	123.73	133.30
	3,802.97	774.24	183.78	135.54	38.08	322.01	5,256.62
Less: Allowance for credit losses	8.85	60.17	11.46	18.28	16.78	231.17	346.71
	3,794.12	714.07	172.32	117.26	21.30	90.84	4,909.91
Add: Unbilled trade receivables							6.98
Total trade receivables							4,916.89

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forming part of the consolidated financial statements

15. Trade receivables (Contd.)

[Item No. II(b)(ii), Page F142]

As at March 31, 2025

(₹ crore)

	Not due	Outstanding for the following periods from the due date of payment					Total
		Less than 6 months	6 months-1 year	1-2 years	2-3 years	More than 3 years	
Undisputed - considered good	3,826.53	1,221.54	64.58	58.31	41.15	73.24	5,285.35
Undisputed - credit impaired	2.75	6.13	3.95	9.67	71.51	25.72	119.73
Disputed - considered good	-	-	0.35	2.14	0.32	26.45	29.26
Disputed - credit impaired	-	0.09	3.04	7.35	3.43	85.69	99.60
	3,829.28	1,227.76	71.92	77.47	116.41	211.10	5,533.94
Less: Allowance for credit losses	11.35	40.22	9.51	20.85	76.58	124.68	283.19
	3,817.93	1,187.54	62.41	56.62	39.83	86.42	5,250.75
Add: Unbilled trade receivables							9.31
Total trade receivables							5,260.06

- (iii) The Group considers its maximum exposure to credit risk with respect to customers as at March 31, 2026 to be **₹2,909.11** crore (March 31, 2025: ₹3,300.11 crore), which is the carrying value of trade receivables after allowance for credit losses and considering insurance cover. The Group had insurance cover as at March 31, 2026 **₹2,007.78** crore (March 31, 2025: ₹1,959.95 crore).

The Group's exposure to customers is diversified and there is no concentration of credit risk with respect to any particular customer.

- (iv) There are no outstanding receivables due from directors or other officers of the Company.

16. Cash and cash equivalents

[Item No. II(b)(iii), Page F142]

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
(a) Cash on hand	3.03	1.39
(b) Cheques, drafts on hand	0.45	2.68
(c) Remittances in-transit	403.69	483.12
(d) Unrestricted balances with banks	8,477.78	9,117.77
	8,884.95	9,604.96

- (i) Currency profile of cash and cash equivalents is as below:

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
INR	3,266.14	3,437.65
GBP	262.05	849.91
EURO	2,439.53	3,435.06
USD	1,178.27	882.17
Others	1,738.96	1,000.17
	8,884.95	9,604.96

INR-Indian Rupees, GBP- Great Britain Pound, USD-United States Dollars. Others primarily include SGD-Singapore Dollars, CAD- Canadian Dollars, THB-Thai Baht, AUD- Austrian dollars and ZAR - South African Rand.

NOTES

forming part of the consolidated financial statements

17. Other balances with banks

[Item No. II(b)(iv), Page F142]

	As at March 31, 2026	As at March 31, 2025
Other balances with bank	1,172.58	2,042.02
	1,172.58	2,042.02

(i) Currency profile of earmarked balances with banks is as below:

	As at March 31, 2026	As at March 31, 2025
INR	1,109.86	1,986.79
GBP	62.72	55.23
	1,172.58	2,042.02

INR-Indian rupees, GBP-Great Britain Pound.

(ii) Other balances with banks includes earmarked balances of **₹258.54** crore (March 31, 2025: ₹1,236.66 crore) which primarily includes balances held for unpaid dividends **₹130.70** crore (March 31, 2025: ₹118.52 crore), amount held back against the consideration payable for acquisition of a subsidiary **Nil** (March 31, 2025: ₹774.95 crore) and towards margin money for bank guarantee and others **₹60.90** crore (March 31, 2025: ₹136.43 crore).

18. Assets held for sale

[Item No. III, Page F142]

Within Indian businesses, certain property, plant and equipment has been classified as held for sale as the Group no longer expect to recover the carrying value of such assets through continuing use. As at March 31, 2026, the carrying value of such assets is **₹255.06** crore (March 31, 2025: Nil). The Group expects to dispose such property, plant and equipment within 12 months.

NOTES

forming part of the consolidated financial statements

19. Equity share capital

[Item No. IV(a), Page F143]

		(₹ crore)	
		As at March 31, 2026	As at March 31, 2025
Authorised:			
2,60,19,50,00,000[#]	Ordinary Shares of ₹1 each (March 31, 2025: 2,60,19,50,00,000 Ordinary Shares of ₹1 each)	26,019.50	26,019.50
35,00,00,000	'A' Ordinary Shares of ₹10 each* (March 31, 2025: 35,00,00,000 'A' Ordinary Shares of ₹10 each)	350.00	350.00
2,50,00,000	Cumulative Redeemable Preference Shares of ₹100 each* (March 31, 2025: 2,50,00,000 Shares of ₹100 each)	250.00	250.00
60,00,00,000	Cumulative Convertible Preference Shares of ₹100 each* (March 31, 2025: 60,00,00,000 Shares of ₹100 each)	6,000.00	6,000.00
		32,619.50	32,619.50
Issued:			
12,49,64,11,091	Ordinary Shares of ₹1 each (March 31, 2025: 12,49,64,11,091 Ordinary Shares of ₹1 each)	1,249.64	1,249.64
		1,249.64	1,249.64
Subscribed and paid up:			
12,47,18,47,611^{**}	Ordinary Shares of ₹1 each fully paid up (March 31, 2025: 12,47,18,47,611 Ordinary Shares of ₹1 each)	1,247.19	1,247.19
	Amount paid up on 58,11,460 Ordinary Shares of ₹1 each forfeited (March 31, 2025: 58,11,460 Ordinary Shares of ₹1 each)	0.25	0.25
		1,247.44	1,247.44

#During the year ended March 31, 2025, the Company's authorised share capital has increased, with requisite regulatory approvals because of the mergers given effect in earlier years.

* 'A' Ordinary Shares and Preference Shares included within the authorised share capital are for disclosure purposes and have not yet been issued by the Company as on March 31, 2026.

** Includes 4,370 equity shares of ₹1 each, on which first and final call money has been received and the partly paid-up equity shares have been converted to fully paid-up equity shares but, are pending final listing and trading approval under the ISIN INE081A01020 (for fully paid shares), and hence, continue to be listed under the ISIN IN9081A01010 (for partly paid shares) as on March 31, 2026.

- (i) Subscribed and paid-up capital excludes **1,16,83,930** (March 31, 2025: 1,16,83,930) Ordinary Shares of ₹1 each, held by Rujuvalika Investments Limited, wholly-owned subsidiary of the Company.

NOTES

forming part of the consolidated financial statements

19. Equity share capital (Contd.)

[Item No. IV(a), Page F143]

(ii) Details of movement in subscribed and paid up share capital is as below:

	Year ended March 31, 2026		Year ended March 31, 2025	
	No. of shares	₹ crore	No. of shares	₹ crore
Ordinary Share				
Balance at the beginning of the year	12,47,18,47,611	1,247.19	12,47,18,47,611	1,247.19
Balance at the end of the year	12,47,18,47,611	1,247.19	12,47,18,47,611	1,247.19

(iii) As on March 31, 2026, **29,27,850** (March 31, 2025: 29,27,850) Ordinary Shares of face value ₹1 each are kept in abeyance in respect of Rights issue of 2007. As on March 31, 2026, **17,97,930** (March 31, 2025: 17,97,930) Ordinary Shares of face value ₹1 each are kept in abeyance in respect of Rights Issue of 2018.

(iv) Details of Shareholders holding more than 5% shares in the Company are as below:

	As at March 31, 2026		As at March 31, 2025	
	No. of ordinary shares	% held	No. of ordinary shares	% held
Name of shareholders				
(a) Tata Sons Private Limited	3,96,50,81,420	31.76	3,96,50,81,420	31.76
(b) Life Insurance Corporation of India	86,43,62,822	6.92	97,47,51,078	7.81

(v) Details of promoters' shareholding in the Company are as below:

	As at March 31, 2026		As at March 31, 2025	
	No. of ordinary shares	% held	No. of ordinary shares	% held
Name of promoter shareholder				
Tata Sons Private Limited	3,96,50,81,420	31.76	3,96,50,81,420	31.76

(vi) **5,95,29,020** shares (March 31, 2025: 6,11,55,380 shares) of face value of ₹1 per share represent the shares underlying GDRs which were issued during 1994 and 2009. Each GDR represents one underlying Ordinary Share.

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19. Equity share capital (Contd.)

[Item No. IV(a), Page F143]

(vii) The rights, powers and preferences relating to each class of share capital and the qualifications, limitations and restrictions thereof are contained in the Memorandum and Articles of Association of the Company. The principal rights are as follows:

A. Ordinary Shares of ₹1 each

- (i) In respect of every Ordinary Share (whether fully paid or partly paid), voting right and dividend shall be in the same proportion as the capital paid up on such Ordinary Share bears to the total paid up Ordinary Capital of the Company.
- (ii) The dividend proposed by the Board of Directors is subject to the approval of the Shareholders in the ensuing Annual General Meeting, except in case of interim dividend.
- (iii) In the event of liquidation, the Shareholders of Ordinary Shares are eligible to receive the remaining assets of the Company after distribution of all preferential amounts, in proportion to their shareholding.

B. 'A' Ordinary Shares of ₹10 each

- (i) (a) The holders of 'A' Ordinary Shares shall be entitled to such rights of voting and/or dividend and such other rights as per the terms of the issue of such shares, provided always that:
 - › in the case where a resolution is put to vote on a poll, such differential voting entitlement (excluding fractions, if any) will be applicable to holders of 'A' Ordinary Shares.
 - › in the case where a resolution is put to vote in the meeting and is to be decided on a show of hands, the holders of 'A' Ordinary Shares shall be entitled to the same number of votes as available to holders of Ordinary Shares.
- (b) The holders of Ordinary Shares and the holders of 'A' Ordinary Shares shall vote as a single class with respect to all matters submitted for voting by shareholders of the Company and shall exercise such votes in proportion to the voting rights attached to such shares including in relation to any scheme under Sections 391 to 394 of the Companies Act, 1956.

(ii) The holders of 'A' Ordinary Shares shall be entitled to dividend on each 'A' Ordinary Share which may be equal to or higher than the amount per Ordinary Share declared by the Board for each Ordinary Share, and as may be specified at the time of the issue. Different series of 'A' Ordinary Shares may carry different entitlements to dividend to the extent permitted under applicable law and as prescribed under the terms applicable to such issue.

C. Preference Shares

The Company has two classes of preference shares i.e. Cumulative Redeemable Preference Shares (CRPS) of ₹100 per share and Cumulative Convertible Preference Shares (CCPS) of ₹100 per share.

- (i) Such shares shall confer on the holders thereof, the right to a fixed preferential dividend from the date of allotment, at a rate as may be determined by the Board at the time of the issue, on the capital for the time being paid up or credited as paid up thereon.
- (ii) Such shares shall rank for capital and dividend (including all dividend undeclared upto the commencement of winding up) and for repayment of capital in a winding up, pari passu inter se and in priority to the Ordinary Shares of the Company, but shall not confer any further or other right to participate either in profits or assets. However, in case of CCPS, such preferential rights shall automatically cease on conversion of these shares into Ordinary Shares.
- (iii) The holders of such shares shall have the right to receive all notices of general meetings of the Company but shall not confer on the holders thereof the right to vote at any meetings of the Company save to the extent and in the manner provided in the Companies Act, 1956, or any re-enactment thereof.
- (iv) CCPS shall be converted into Ordinary Shares as per the terms, determined by the Board at the time of issue; as and when converted, such Ordinary Shares shall rank pari passu with the then existing Ordinary Shares of the Company in all respects.

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20. Other equity

[Item No. IV(b), Page F143]

A. Retained earnings

The details of movement in retained earnings is as below:

	Year ended March 31, 2026	Year ended March 31, 2025
Balance at the beginning of the year	33,698.53	34,815.73
Profit for the year	10,793.87	3,420.51
Remeasurement of post-employment defined employee benefit plans	442.76	(71.59)
Tax on remeasurement of post-employment defined employee benefit plans	(104.13)	21.10
Dividend	(4,489.87)	(4,489.87)
Capital contribution	61.83	-
Transfers within equity	(4.07)	(1.08)
Adjustment for changes in ownership interests	(724.12)	3.73
Balance at the end of the year	39,674.80	33,698.53

B. Items of other comprehensive income

(a) Cash flow hedge reserve

The cumulative effective portion of gain or losses arising from changes in fair value of hedging instruments designated as cash flow hedges are recognised in cash flow hedge reserve. Such changes recognised are reclassified to the consolidated statement of profit and loss when the hedged item affects the profit or loss or are included as an adjustment to the cost of the related non-financial hedged item.

The Group has designated certain foreign currency forward contracts, commodity contracts, interest rate swaps and collar as cash flow hedges in respect of foreign exchange, commodity price and interest rate risks.

The details of movement in cash flow hedge reserve is as below.

	Year ended March 31, 2026	Year ended March 31, 2025
Balance at the beginning of the year	168.60	158.81
Other comprehensive income recognised during the year	346.87	9.79
Balance at the end of the year	515.47	168.60

(i) The details of other comprehensive income recognised during the year is as below:

	Year ended March 31, 2026	Year ended March 31, 2025
Fair value changes recognised during the year	542.86	(39.20)
Fair value changes reclassified to the consolidated statement of profit and loss/cost of hedged items	(143.20)	22.74
Tax impact on above	(52.79)	26.25
	346.87	9.79

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forming part of the consolidated financial statements

20. Other equity (Contd.)

[Item No. IV(b), Page F143]

- (ii) The amount recognised in cash flow hedge reserve (net of tax) is expected to impact the consolidated statement of profit and loss within the next one year.

(b) Investment revaluation reserve

Cumulative gains and losses arising on fair value changes of equity investments measured at fair value through other comprehensive income are recognised in investment revaluation reserve. The reserve balance represents such changes recognised net of amounts reclassified to retained earnings on disposal of such investments.

The details of movement in investment revaluation reserve is as below:

	Year ended March 31, 2026	Year ended March 31, 2025
Balance at the beginning of the year	1,471.12	1,610.09
Other comprehensive income recognised during the year	11.17	(111.65)
Tax impact on above	(3.38)	(27.32)
Balance at the end of the year	1,478.91	1,471.12

(₹ crore)

(c) Foreign currency translation reserve

Exchange differences arising on translation of assets, liabilities, income and expenses of the Group's foreign subsidiaries, associates and joint ventures are recognised in other comprehensive income and accumulated separately in foreign currency translation reserve. The amounts recognised are transferred to the consolidated statement of profit and loss on disposal of the related foreign subsidiaries, associates and joint ventures.

The details of movement in foreign currency translation reserve is as below:

	Year ended March 31, 2026	Year ended March 31, 2025
Balance at the beginning of the year	5,332.02	4,940.08
Other comprehensive income recognised during the year	4,663.02	391.94
Balance at the end of the year	9,995.04	5,332.02

(₹ crore)

C. Other reserves

(a) Securities premium

Securities premium is used to record premium received on issue of shares. The reserve is utilised in accordance with the provisions of the Companies Act, 2013.

The details of movement in securities premium is as below:

	Year ended March 31, 2026	Year ended March 31, 2025
Balance at the beginning of the year	31,288.08	31,288.08
Balance at the end of the year	31,288.08	31,288.08

(₹ crore)

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forming part of the consolidated financial statements

20. Other equity (Contd.)

[Item No. IV(b), Page F143]

(b) Debenture redemption reserve

The provisions of the Companies Act, 2013 read with related rules required a company issuing debentures to create Debenture Redemption Reserve (DRR) of 25% of the value of debentures issued, either through a public issue or on a private placement basis, out of profits of the company available for payment of dividend. The amounts credited to the DRR can be utilised by the company only to redeem debentures.

As per the recent amendment in the Companies (Share Capital and Debentures) Rules, 2014, a listed company issuing privately placed debentures on or after August 16, 2019, is not required to maintain additional amount in the DRR. Accordingly, the existing balance in the DRR shall be maintained to be utilised for redemption of existing debentures issued by the Company on or before August 16, 2019.

The details of movement in debenture redemption reserve is as below:

	Year ended March 31, 2026	Year ended March 31, 2025
Balance at the beginning of the year	1,328.75	1,328.75
Balance at the end of the year	1,328.75	1,328.75

(₹ crore)

(c) General reserve

Under the erstwhile Companies Act 1956, a general reserve was created through an annual transfer of net profit at a specified percentage in accordance with applicable regulations. Consequent to the introduction of the Companies Act, 2013 the requirement to mandatorily transfer a specified percentage of net profit to general reserve has been withdrawn.

The details of movement in general reserve is as below:

	Year ended March 31, 2026	Year ended March 31, 2025
Balance at the beginning of the year	12,898.41	12,898.41
Balance at the end of the year	12,898.41	12,898.41

(₹ crore)

(d) Capital redemption reserve

The Companies Act, 2013 requires that when a company purchases its own shares out of free reserves or securities premium account, a sum equal to the nominal value of the shares so purchased shall be transferred to a capital redemption reserve account. The reserve is utilised in accordance with the provision of Section 69 of the Companies Act, 2013.

The details of movement in capital redemption reserve is as below:

	Year ended March 31, 2026	Year ended March 31, 2025
Balance at the beginning of the year	133.11	133.11
Balance at the end of the year	133.11	133.11

(₹ crore)

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forming part of the consolidated financial statements

20. Other equity (Contd.)

[Item No. IV(b), Page F143]

(e) Special reserve

Special reserve represents reserve created by certain Indian subsidiaries of the Company pursuant to the Reserve Bank of India Act, 1934 (the "RBI Act") and other related applicable regulations. Under the RBI Act, a non-banking finance company is required to transfer an amount not less than 20% of its net profit to a reserve fund before declaring any dividend. Appropriation from this reserve fund is permitted only for the purposes specified by the RBI.

The details of movement in special reserve is as below:

	Year ended March 31, 2026	Year ended March 31, 2025
Balance at the beginning of the year	14.05	13.21
Transfers within equity	-	0.84
Balance at the end of the year	14.05	14.05

(₹ crore)

(f) Capital Reserve on consolidation

The excess of fair value of net assets acquired over consideration paid in a business combination is recognised as capital reserve on consolidation. The reserve is not available for distribution.

The details of movement in capital reserve on consolidation is as below:

	Year ended March 31, 2026	Year ended March 31, 2025
Balance at the beginning of the year	784.28	784.28
Balance at the end of the year	784.28	784.28

(₹ crore)

(g) Capital reserve

The excess of fair value of net assets acquired over consideration paid in a common control transaction is recognised as capital reserve.

The details of movement in capital reserve on consolidation is as below:

	Year ended March 31, 2026	Year ended March 31, 2025
Balance at the beginning of the year	2,614.65	2,627.42
Adjustment for changes in ownership interests ⁽ⁱ⁾	-	(12.75)
Other movements within equity	-	(0.02)
Balance at the end of the year	2,614.65	2,614.65

(₹ crore)

- (i) Relates to the difference between de-recognition of non- controlling interest and consideration paid on merger of The Indian Steel and Wires Products Limited ("ISWP") and Angul Energy Limited ("AEL") with the Company during the year ended March 31, 2025.

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forming part of the consolidated financial statements

20. Other equity (Contd.)

[Item No. IV(b), Page F143]

(h) Others

Others primarily represent amounts appropriated out of the consolidated statement of profit or loss for unforeseen contingencies. Such amounts are free in nature.

The details of movement in others is as below:

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
Balance at the beginning of the year	190.59	190.35
Transfers within equity	4.07	0.24
Balance at the end of the year	194.66	190.59

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21. Non-controlling interests

[Item No. IV(c), Page F143]

Non-controlling interests represent proportionate share held by minority shareholders in the net assets of subsidiaries which are not wholly owned by the Company.

The balance of non-controlling interests as at the end of the year is as below:

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
Non-controlling interests	1,612.80	183.15

- (i) The Company, through its wholly owned subsidiary, T S Global Holdings Pte. Ltd. holds **67.90%** (March 31, 2025: 67.90%) equity stake in Tata Steel (Thailand) Public Company Limited.
- (ii) The Company holds **50.01%** (March 31, 2025: Nil) equity stake in Thriveni Pellets Private Limited.

The table below provides information in respect of subsidiaries where material non-controlling interest exists:

							(₹ crore)
Name of the subsidiary	Country of incorporation and Operation	% of non- controlling interests as at March 31, 2026	% of non- controlling interests as at March 31, 2025	Profit/(loss) attributable to non-controlling interests for the year ended March 31, 2026	Profit/(loss) attributable to non-controlling interests for the year ended March 31, 2025	Non-controlling interests as at March 31, 2026	Non-controlling interests as at March 31, 2025
Thriveni Pellets Private Limited	India	49.99%	-	3.03	-	506.69	-
Tata Steel (Thailand) Public Company Limited	Thailand	32.10%	32.10%	166.44	25.87	1,085.69	770.45

The tables below provides summarised information in respect of consolidated balance sheet as at March 31, 2026 consolidated statement of profit and loss and consolidated statement of cash flows for the year ended March 31, 2026, in respect of the above-mentioned entities:

Summarised balance sheet information

				(₹ crore)
		Thriveni Pellets Private Limited	Tata Steel (Thailand) Public Company Limited	
Particulars		As at March 31, 2026	As at March 31, 2025	As at March 31, 2026 As at March 31, 2025
Non-current assets		1,553.55	-	1,004.14 864.17
Current assets		459.26	-	3,186.47 2,219.55
Total asset (A)		2,012.81	-	4,190.61 3,083.72
Non-current liabilities		535.45	-	310.35 268.79
Current liabilities		463.77	-	544.13 416.99
Total liabilities (B)		999.22	-	854.48 685.78
Net asset (A-B)		1,013.59	-	3,336.13 2,397.94

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21. Non-controlling interests (Contd.)

[Item No. IV(c), Page F143]

Summarised profit and loss information

(₹ crore)

Particulars	Thriveni Pellets Private Limited		Tata Steel (Thailand) Public Company Limited	
	Year ended March 31, 2026	Year ended March 31, 2025	Year ended March 31, 2026	Year ended March 31, 2025
Revenue from operations	468.57	-	7,197.79	6,055.44
Profit/(loss) for the year	6.05	-	517.43	80.65
Total Comprehensive Income for the year	4.37	-	937.79	303.20

Summarised cash flow information

(₹ crore)

Particulars	Thriveni Pellets Private Limited		Tata Steel (Thailand) Public Company Limited	
	Year ended March 31, 2026	Year ended March 31, 2025	Year ended March 31, 2026	Year ended March 31, 2025
Net cash from/(used in) operating activities	22.48	-	896.82	(111.53)
Net cash from/(used in) investing activities	15.02	-	(31.44)	28.06
Net cash from/(used in) financing activities	10.18	-	(21.31)	(19.34)
Effect of exchange rate on cash and cash equivalents	-	-	118.08	45.91
Cash and cash equivalents at the beginning of the year	2.77	-	445.29	502.19
Cash and cash equivalents at the end of the year	50.45	-	1,407.44	445.29

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forming part of the consolidated financial statements

22. Borrowings

[Item No. V(a)(i) and (VI)(a)(i), Page F143]

A. Non-current

	As at March 31, 2026	As at March 31, 2025
(₹ crore)		
(a) Secured		
(i) Term loans from banks/financial institutions	354.95	103.18
(ii) Other loans	-	345.60
	354.95	448.78
(b) Unsecured		
(i) Bonds and non-convertible debentures	20,926.20	23,685.54
(ii) Term loans from banks/financial institutions	42,472.23	44,417.23
(iii) Other loans	0.29	0.26
	63,398.72	68,103.03
	63,753.67	68,551.81

B. Current

	As at March 31, 2026	As at March 31, 2025
(₹ crore)		
(a) Secured		
(i) Loans from banks/financial institutions	48.88	249.87
(ii) Repayable on demand from banks/financial institutions	248.33	0.82
(iii) Current maturities of long-term debt	395.28	5,556.78
	692.49	5,807.47
(b) Unsecured		
(i) Term loans from banks/financial institutions	11,834.71	9,314.81
(ii) Current maturities of long-term borrowings	5,119.51	3,299.45
(iii) Other loans	3,556.01	1,990.27
	20,510.23	14,604.53
	21,202.72	20,412.00

- (i) As on March 31, 2026, **₹1,047.44** crore (March 31, 2025: ₹3,349.13 crore) of the total outstanding borrowings were secured by a charge on property, plant and equipment, inventories, receivables and other current assets.

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forming part of the consolidated financial statements

22. Borrowings (Contd.)

[Item No. V(a)(i) and (VI)(a)(i), Page F143]

(ii) The security details of major borrowings as at March 31, 2026 are as below:

(a) Loan from Joint Plant Committee-Steel Development Fund

It is secured by mortgages on all present and future immovable properties wherever situated and hypothecation of movable assets, excluding land and building mortgaged in favour of Government of India under the deed of mortgage dated April 13, 1967 and in favour of Government of Bihar under two deeds of mortgage dated May 11, 1963, immovable properties and movable assets of the Tube Division, Bearings Division, Ferro Alloys Division and Cold Rolling Complex (West) at Tarapur and all investments and book debts of the Company subject to the prior charges created and/or to be created in favour of the bankers for securing borrowing for the working capital requirement and charges created and/or to be created on specific items of machinery and equipment procured/to be procured under deferred payment schemes/bill re-discounting schemes/asset credit schemes.

The loan was repayable in 16 equal semi-annual instalments after completion of four years from the date of the tranche.

The Company filed a writ petition being WP No. 70 of 2006 (subsequently renumbered as WPO 70 of 2006) before the High Court at Calcutta in February 2006 claiming waiver of the outstanding loan and interest and refund of the balance lying with Steel Development Fund ("SDF"). The Writ Petition was decided by judgment dated August 3, 2022. By the judgment, the High Court declared that the corpus of SDF can only be utilised for the benefit of the main steel producers. However, the waiver of loan as sought by the Company was not allowed. Hence, against the judgment the Company filed an appeal in the High Court being APO No. 85 of 2022.

The appeal has been decided on January 3, 2023. By the final order, High Court has directed the Company to submit a fresh representation to Union of India and fixed a time of three months for Union of India to take a decision on the representation. The Company has submitted the representation on March 28, 2023.

The representation of the Company has been rejected by Government of India (Ministry of Steel) on December 29, 2023. By a letter of January 2024, the Company sought No-objection certificate ("NoC") from Joint Plant Committee ("JPC") for scheme of amalgamation of two of its subsidiary companies, namely Bhubaneswar Power Private Limited and Indian Steel and Wire Products Limited. By its letter dated February 22, 2024, while NoC has been issued for the merger, JPC has directed the Company to repay the outstanding SDF loans with interest within one month.

The Company challenged the rejection of representation by the Union of India (vide its communication dated December 29, 2023) and the direction of JPC to the Company to repay the outstanding loans by filing a writ petition being WPO No. 227 of 2024. It was also the contention of the Company that it is entitled to refund of all sums paid by it to SDF and that the Union of India has no right to the same.

On May 24, 2024, the Calcutta High Court (Single Bench) dismissed the writ petition filed by the Company. The Company filed an appeal against the aforesaid before the Calcutta High Court (Division Bench). The appeal filed is pending for hearing.

In the meanwhile, on January 17, 2025, the Company received a demand from the Ministry of Steel to make payment of outstanding balance of SDF loan. The Company made a payment of ₹2,824.15 crore against the outstanding loan (including funded interest) in April, 2025. Subsequently, pursuant to an additional demand raised by JPC, the Company made payment of ₹145.95 crore on August 22, 2025, outstanding as of date. The payments have been made without prejudice to the company's rights and contentions in the appeal pending before the Hon'ble Calcutta High Court. The same was communicated to the Ministry of Steel.

NOTES

forming part of the consolidated financial statements

22. Borrowings (Contd.)

[Item No. V(a)(i) and (VI)(a)(i), Page F143]

(b) Loan from banks/financial institutions

The borrowings in Tata Steel Europe, a wholly owned subsidiary of the Company, relate to the senior facility arrangement (SFA) which was refinanced in October 2022. The SFA is secured against the assets and shares of Tata Steel UK Limited and the shares of Tata Steel Netherlands Holdings BV (TSNH). The SFA contains covenants for cash flow to debt service and debt to tangible net worth calculated at the Company level. The SFA as on March 31, 2025 comprises of Facility B: EURO 302 million bullet term loan facility equivalent to ₹2,779.94 crore repaid during the year ended March 31, 2026.

- (iii) As at March 31, 2026, the register of charges of the Company as available in records of the Ministry of Corporate Affairs (MCA) includes charges that were created/modified since the inception of the Company. There are certain charges which are historic in nature and it involves practical challenges in obtaining no-objection certificates (NOCs) from the charge holders of such charges, despite repayment of the underlying loans. The Company is in the continuous process of filing the charge satisfaction e-form with MCA, within the timelines, as and when it receives NOCs from the respective charge holders.
- (iv) The Company has filed quarterly returns or statements with the banks in lieu of the sanctioned working capital facilities and the discrepancy noted in such quarterly return or statement with the books of accounts were immaterial for the year ended March 31, 2026.

The Company has filed quarterly returns or statements with the banks in lieu of the sanctioned working capital facilities, which are in agreement with the books of account other than those as set out below for the year ended March 31, 2025.

(₹ crore)

Name of the Bank	Aggregate working capital limits sanctioned	Nature of Current Asset offered as Security	Quarter ended	Amount disclosed as per quarterly return/statement	Amount as per books of account	Difference	Reason for variance
State Bank of India and consortium of banks	1850.00*	Refer Note 1 below	September 30, 2024	1,467.04	1,321.92	145.12	Incorrect amount of Export advances
State Bank of India and consortium of banks	1850.00*	Refer Note 1 below	December 31, 2024	7,033.25	7,034.08	(0.83)	Incorrect amount of creditor for Goods under LC

*The working capital consortium limit as per the agreement is ₹2,000 crore, out of which the available sanction limits for utilisation is ₹1,850 crore. However, the corresponding charge created is ₹2,000 crore.

Note 1: Pari-passu charge on the Company's entire current assets namely stock of raw materials, finished and semi-finished goods, stocks-in-process, consumables stores and spares and book debts at its plant sites or anywhere else, in favour of the Bank, by way of hypothecation.

- (v) The details of major unsecured borrowings as at March 31, 2026 are as below:

(a) Bonds and debentures

(I) Non-convertible Debentures (NCD):

The details of debentures issued/redeemed by the Company are as below:

- (i) 7.76% p.a. interest bearing 15,000 debentures of face value ₹10,00,000 each are redeemable at par on September 20, 2032.
- (ii) 9.84% p.a. interest bearing 43,150 debentures of face value ₹10,00,000 each are redeemable at par in 4 equal annual instalments commencing from February 28, 2031.
- (iii) 7.65% p.a. interest bearing 3,00,000 debentures of face value ₹1,00,000 each are redeemable at par on February 21, 2030.

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22. Borrowings (Contd.)

[Item No. V(a)(i) and (VI)(a)(i), Page F143]

- (iv) 8.03% p.a. interest bearing 2,15,000 debentures of face value ₹1,00,000 each are redeemable at par on February 25, 2028.
- (v) 7.50% p.a. interest bearing 5,000 debentures of face value ₹10,00,000 each are redeemable at par on September 20, 2027.
- (vi) 7.79% p.a. interest bearing 2,70,000 debentures of face value ₹1,00,000 each are redeemable at par on March 26, 2027.
- (vii) 8.15% p.a. interest bearing 10,000 debentures of face value ₹10,00,000 each are redeemable at par on October 3, 2026.

(II) Bonds

ABJA Investment Company Pte Ltd. a wholly owned subsidiary of the Company has issued non-convertible bonds that are listed on the Singapore Stock Exchange and Frankfurt Stock Exchange. Details of the bonds outstanding at the end of the reporting period are as below:

SL No	Issued on	Currency	Outstanding principal (in million)			Interest Rate	Redeemable on
			Initial Principal due/face value (in million)	As at March 31, 2026	As at March 31, 2025		
1	January 2018	USD	1,000	1,000	1,000	5.45%	January 2028

(b) Term loans from banks/financial institutions

(I) The details of loans from banks and financial institutions availed/repaid by the Company are as below:

- (i) Rupee loan amounting **₹956.00** crore (March 31, 2025: ₹1,320.00 crore) is repayable in 2 semi-annual instalments, the next instalment is due on February 28, 2030.
- (ii) Rupee loan amounting **₹1,000.00** crore (March 31, 2025: ₹1,000.00 crore) is repayable on August 30, 2029.
- (iii) USD 750 million equivalent to **₹7,113.56** crore (March 31, 2025: ₹6,411.00 crore) loan is repayable in the 3 equal annual instalments, the first instalment is due on February 12, 2029.
- (iv) Rupee loan amounting **₹500.00** crore (March 31, 2025: ₹500.00 crore) is repayable on December 11, 2027.
- (v) Rupee loan amounting **₹100.00** crore (March 31, 2025: ₹100.00 crore) is repayable on December 8, 2027.
- (vi) Rupee loan amounting **₹475.00** crore (March 31, 2025: Nil) is repayable in 20 semi-annual instalments, the next instalment is due on September 30, 2027.
- (vii) Rupee loan amounting **₹400.00** crore (March 31, 2025: Nil) is repayable in 11 annual instalments, the next instalment is due on June 25, 2027.
- (viii) Rupee loan amounting **₹272.25** crore (March 31, 2025: Nil) is repayable in 19 semi-annual instalments, the next instalment is due on March 31, 2027.
- (ix) Rupee loan amounting **₹1,500.00** crore (March 31, 2025: Nil) is repayable in 18 semi-annual instalments, the next instalment is due on February 26, 2027.
- (x) Rupee loan amounting **₹1,000.00** crore (March 31, 2025: Nil) is repayable in 18 semi-annual instalments, the next instalment is due on December 31, 2026.
- (xi) Rupee loan amounting **₹595.00** crore (March 31, 2025: ₹595.00 crore) is repayable in 4 semi-annual instalments, the next instalment is due on October 16, 2026.

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22. Borrowings (Contd.)

[Item No. V(a)(i) and (VI)(a)(i), Page F143]

- (xii) Rupee loan amounting **₹1,500.00** crore (March 31, 2025: Nil) is repayable in 20 semi-annual instalments, the next instalment is due on September 30, 2026.
- (xiii) Rupee loan amounting **₹291.00** crore (March 31, 2025: ₹294.00 crore) is repayable in 2 annual instalments, the next instalment is due on September 30, 2026.
- (xiv) Rupee loan amounting **₹372.00** crore (March 31, 2025: ₹380.00 crore) is repayable in 13 semi-annual instalments, the next instalment is due on September 30, 2026.
- (xv) Rupee loan amounting **₹558.00** crore (March 31, 2025: ₹570.00 crore) is repayable in 13 semi-annual instalments, the next instalment is due on September 30, 2026.
- (xvi) Rupee loan amounting **₹465.00** crore (March 31, 2025: ₹475.00 crore) is repayable in 13 semi-annual instalments, the next instalment is due on September 30, 2026.
- (xvii) Rupee loan amounting **₹930.00** crore (March 31, 2025: ₹950.00 crore) is repayable in 13 semi-annual instalments, the next instalment is due on September 30, 2026.
- (xviii) Rupee loan amounting **₹1,960.00** crore (March 31, 2025: ₹2,000.00 crore) is repayable in 18 semi-annual instalments, the next instalment is due on September 30, 2026.
- (xix) Rupee loan amounting **₹336.00** crore (March 31, 2025: ₹343.00 crore) is repayable in 16 semi-annual instalments, the next instalment is due on September 30, 2026.
- (xx) Rupee loan amounting **₹768.00** crore (March 31, 2025: ₹784.00 crore) is repayable in 16 semi-annual instalments, the next instalment is due on September 30, 2026.
- (xxi) Rupee loan amounting **₹816.00** crore (March 31, 2025: ₹833.00 crore) is repayable in 16 semi-annual instalments, the next instalment is due on September 30, 2026.
- (xxii) Rupee loan amounting **₹1,000.00** crore (March 31, 2025: Nil) is repayable in 18 semi-annual instalments, starting on September 30, 2026.
- (xxiii) Rupee loan amounting **₹400.00** crore (March 31, 2025: ₹400.00 crore) is repayable on September 14, 2027.
- (xxiv) Rupee loan amounting **₹465.00** crore (March 31, 2025: ₹475.00 crore) is repayable in 13 semi-annual instalments, the next instalment is due on September 7, 2026.
- (xxv) Rupee loan amounting **₹186.00** crore (March 31, 2025: ₹190.00 crore) is repayable in 13 semi-annual instalments, the next instalment is due on September 1, 2026.
- (xxvi) Rupee loan amounting **₹511.50** crore (March 31, 2025: ₹522.50 crore) is repayable in 13 semi-annual instalments, the next instalment is due on September 1, 2026.
- (xxvii) Rupee loan amounting **₹485.00** crore (March 31, 2025: ₹495.00 crore) is repayable in 17 semi-annual instalments, the next instalment is due on August 19, 2026.
- (xxviii) Rupee loan amounting **₹686.00** crore (March 31, 2025: ₹700.00 crore) is repayable in 7 annual instalments, the next instalment is due on August 12, 2026.
- (xxix) Rupee loan amounting **₹2,910.00** crore (March 31, 2025: ₹2,970.00 crore) is repayable in 17 semi-annual instalments, the next instalment is due on July 22, 2026.

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22. Borrowings (Contd.)

[Item No. V(a)(i) and (VI)(a)(i), Page F143]

- (xxx) Rupee loan amounting **₹350.00** crore (March 31, 2025: ₹400.00 crore) is repayable in 14 equal semi-annual instalments, the next instalment is due on July 1, 2026.
- (xxxi) Rupee loan amounting **₹360.00** crore (March 31, 2025: ₹520.00 crore) is repayable in 3 semi-annual instalments, the next instalment is due on June 30, 2026.
- (xxxii) Rupee loan amounting **₹658.00** crore (March 31, 2025: ₹686.00 crore) is repayable in 28 quarterly instalments, the next instalment is due on June 30, 2026.
- (xxxiii) Rupee loan amounting **₹495.00** crore (March 31, 2025: ₹500.00 crore) is repayable in 32 quarterly instalments, the next instalment is due on June 30, 2026.
- (xxxiv) Rupee loan amounting **₹1,410.00** crore (March 31, 2025: ₹1,440.00 crore) is repayable in 14 semi-annual instalments, the next instalment is due on June 30, 2026.
- (xxxv) Rupee loan amounting **₹1,710.00** crore (March 31, 2025: ₹1,746.00 crore) is repayable in 15 semi-annual instalments, the next instalment is due on June 30, 2026.
- (xxxvi) Rupee loan amounting **₹294.00** crore (March 31, 2025: ₹297.00 crore) is repayable in 32 quarterly instalments, the next instalment is due on June 30, 2026.
- (xxxvii) Rupee loan amounting **₹495.00** crore (March 31, 2025: Nil) is repayable in 19 semi-annual instalments, the next instalment is due on June 30, 2026.
- (xxxviii) Rupee loan amounting **₹930.00** crore (March 31, 2025: ₹950.00 crore) is repayable in 13 semi-annual instalments, the next instalment is due on June 28, 2026.
- (xxxix) Rupee loan amounting **₹1,245.00** crore (March 31, 2025: ₹1,380.00 crore) is repayable in 11 semi-annual instalments, the next instalment is due on June 19, 2026.
- (xl) Rupee loan amounting **₹1,900.00** crore (March 31, 2025: ₹1,940.00 crore) is repayable in 15 semi-annual instalments, the next instalment is due on June 14, 2026.
- (xli) Rupee loan amounting **₹321.75** crore (March 31, 2025: Nil) is repayable in 19 semi-annual instalments, the next instalment is due on June 5, 2026.
- (xlii) Rupee loan amounting **₹1,000.00** crore (March 31, 2025: Nil) is repayable in 36 quarterly instalments, the next instalment is due on June 4, 2026.
- (xlili) Rupee loan amounting **₹194.00** crore (March 31, 2025: ₹198.00 crore) is repayable in 17 semi-annual instalments, the next instalment is due on May 30, 2026.
- (xliv) Rupee loan amounting **₹760.00** crore (March 31, 2025: ₹850.00 crore) is repayable in 9 semi-annual instalments, the next instalment is due on May 15, 2026.
- (xlv) USD **146.67** million loan equivalent to **₹1,253.71** crore outstanding as on March 31, 2025 has been repaid during the year.
- (xlv) Rupee loan amounting **₹686.00** crore as on March 31, 2025 has been pre-paid during the year.
- (xlvii) Rupee loan amounting **₹960.00** crore as on March 31, 2025 has been pre-paid during the year.
- (xlviii) Rupee loan amounting **₹485.00** crore as on March 31, 2025 has been pre-paid during the year.
- (xlix) Rupee loan amounting **₹1,500.00** crore as on March 31, 2025 has been pre-paid during the year.

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22. Borrowings (Contd.)

[Item No. V(a)(i) and (VI)(a)(i), Page F143]

(II) Short-term borrowings **₹6,434.71** crore (March 31, 2025: ₹6,149.39 crore) represent acceptances provided to bank by the Company with maturity less than a year.

(vi) Currency and interest exposure of borrowings including current maturities is as below:

(₹ crore)

	As at March 31, 2026			As at March 31, 2025		
	Fixed rate	Floating rate	Total	Fixed rate	Floating rate	Total
INR	24,755.44	33,559.92	58,315.36	18,728.63	33,340.80	52,069.43
GBP	11.63	2,066.90	2,078.53	10.24	8,182.63	8,192.87
EURO	-	1,200.12	1,200.12	201.49	5,503.24	5,704.73
USD	15,900.27	7,066.83	22,967.10	14,677.36	7,821.07	22,498.43
Others	395.28	-	395.28	402.96	95.39	498.35
	41,062.62	43,893.77	84,956.39	34,020.68	54,943.13	88,963.81

INR-Indian Rupees, GBP- Great Britain Pound, USD-United States Dollars. Others primarily include SGD-Singapore Dollars, CAD- Canadian Dollars and THB- Thai Baht.

(vii) Majority of floating rate borrowings are bank borrowings bearing interest rates based on Marginal Cost of Lending Rate (MCLR), Repo rate, T-Bills and Secured Overnight Financing Rate (SOFR), Euro Interbank Offered Rate (EURIBOR) or local official rates. Of the total floating rate borrowings as at March 31, 2026, **₹4,979.49** crore (March 31, 2025: ₹1,253.71 crore) has been hedged using interest rate swaps, with contracts covering period of more than one year.

(viii) Maturity profile of borrowings including current maturities is as below:

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
Not later than one year or on demand	21,204.57	20,600.03
Later than one year but not two years	18,237.10	6,167.25
Later than two years but not three years	4,064.37	21,830.88
Later than three years but not four years	9,145.50	3,656.45
Later than four years but not five years	7,570.72	9,137.10
More than five years	24,809.27	27,794.30
	85,031.53	89,186.01
Less: Capitalisation of transaction costs	75.14	222.20
	84,956.39	88,963.81

(ix) Some of the Group's major financing arrangements include financial covenants, which require compliance to certain debt-equity ratios and debt coverage ratios by entities within the Group who have availed such borrowings. Additionally, certain negative covenants may limit the ability of entities within the Group to borrow additional funds or to incur additional liens, and/or provide for increased costs in case of breach. The Group satisfied all the covenants required in terms of borrowings.

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23. Other financial liabilities

[Item No. V(a)(iv) and VI(a)(v), Page F143]

A. Non-current

	As at March 31, 2026	As at March 31, 2025
(a) Creditors for other liabilities	1,262.62	1,294.17
	1,262.62	1,294.17

B. Current

	As at March 31, 2026	As at March 31, 2025
(a) Interest accrued but not due	715.90	796.81
(b) Unpaid dividends	141.15	127.60
(c) Creditors for accrued wages and salaries	5,615.44	4,864.73
(d) Creditors for other liabilities	11,037.34	10,031.37
	17,509.83	15,820.51

(i) Non-current and current creditors for other liabilities include:

- (a) creditors for capital supplies and services of **₹3,668.54** crore (March 31, 2025: ₹4,602.37 crore).
- (b) As on March 31, 2025, out of the total consideration paid for acquisition of a subsidiary in 2022-23, ₹774.95 crore held towards resolution and payments of litigations.
- (c) liability for employee family benefit scheme **₹289.19** crore (March 31, 2025: ₹282.64 crore).
- (d) liability for family protection scheme **₹187.45** crore (March 31, 2025: ₹198.94 crore).
- (e) rebate liabilities arising from volume and price discounts/concessions **₹1,349.79** crore (March 31, 2025: ₹1,074.25 crore)

24. Provisions

[Item No. V(b) and VI(b), Page F143]

A. Non-current

	As at March 31, 2026	As at March 31, 2025
(a) Employee benefits	3,307.77	3,697.80
(b) Insurance provisions	235.82	193.71
(c) Others	2,446.04	1,914.99
	5,989.63	5,806.50

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24. Provisions (Contd.)

[Item No. V(b) and VI(b), Page F143]

B. Current

	As at March 31, 2026	As at March 31, 2025
(a) Employee benefits	1,767.35	1,065.85
(b) Insurance Provisions	100.36	66.28
(c) Others	4,180.49	2,756.16
	6,048.20	3,888.29

- (i) Non-current and current provision for employee benefits include provision for leave salaries **₹1,392.69** crore (March 31, 2025: ₹1,536.68 crore) and provision for early separation, disability and other long term employee benefits **₹2,844.35** crore (March 31, 2025: ₹2,382.49 crore). Provisions for employee benefits include long-term benefits such as long service and sabbatical leave, disability benefits and sick leave. All items are subject to independent actuarial assessments.
- (ii) As per the leave policy of the Company and its Indian subsidiaries, an employee is entitled to be paid the accumulated leave balance on separation. The Company and its Indian subsidiaries present provision for leave salaries as current and non-current based on actuarial valuation considering estimates of avilment of leave, separation of employee, etc.
- (iii) The environmental provisions consist of remediation and clean-up activities that are likely to be undertaken in the foreseeable future and of which the costs can reasonably be estimated, together with provisions for CO₂ emission rights. The majority of the provision is expected to be incurred within one year. The insurance provisions currently held by the Group cover its historical liability risks. The provisions include a suitable amount in respect of its known outstanding claims and an appropriate amount in respect of liabilities that have been incurred but not yet reported. The provisions are subject to regular review and are adjusted as appropriate. The value of the final insurance settlements is uncertain and so is the timing of the expenditure.
- (iv) Non-current and current other provisions primarily include:
- (a) provision for compensatory afforestation, mine closure and rehabilitation obligations and other environmental remediation obligations **₹4,923.23** crore (March 31, 2025: ₹3,068.52 crore). These amounts become payable upon closure of the mines/sites and are expected to be incurred over a period of 1 to 44 years.
- (b) provision in respect of onerous contracts (including long term contracts) amounting to **₹261.32** crore (March 31, 2025: ₹505.05 crore).
- (v) Details of movement in provision balances is as below:

Year ended March 31, 2026

	Insurance Provision	Provision for restoration and rehabilitation	Others	Total
Balance at the beginning of the year	259.99	3,068.52	1,602.63	4,931.14
Recognised/(released) during the year*	190.55	1,369.69	89.48	1,649.72
Utilised during the year	(152.04)	(54.08)	(516.19)	(722.31)
Addition relating to acquisitions	-	-	44.10	44.10
Other re-classifications	0.01	129.51	269.26	398.78
Exchange differences on consolidation	37.67	409.59	214.02	661.28
Balance at the end of the year	336.18	4,923.23	1,703.30	6,962.71

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24. Provisions (Contd.)

[Item No. V(b) and VI(b), Page F143]

Year ended March 31, 2025

(₹ crore)

	Insurance Provision	Provision for restoration and rehabilitation	Others	Total
Balance at the beginning of the year	293.72	2,034.27	1,646.90	3,974.89
Recognised/(released) during the year*	16.79	1,301.72	285.93	1,604.44
Utilised during the year	(63.74)	(300.78)	(336.07)	(700.59)
Other re-classifications	(0.19)	(1.26)	(25.40)	(26.85)
Exchange differences on consolidation	13.41	34.57	31.27	79.25
Balance at the end of the year	259.99	3,068.52	1,602.63	4,931.14

* Includes provisions capitalised during the year in respect of restoration obligations.

25. Deferred income

[Item No. V(d) and VI(d), Page F143]

A. Non-current

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
(a) Grants relating to property, plant and equipment	1,160.51	327.04
(b) Revenue grants	176.96	94.90
(c) Other deferred income	261.10	342.97
	1,598.57	764.91

B. Current

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
(a) Grants relating to property, plant and equipment	-	0.52
(b) Revenue grants	5.17	5.60
(c) Other deferred income	82.92	24.59
	88.09	30.71

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26. Other liabilities

[Item No. V(f) and VI(f), Page F143]

A. Non-current

	As at March 31, 2026	As at March 31, 2025
(a) Advances received from customers	136.69	0.59
(b) Statutory dues	164.28	301.08
(c) Other credit balances	2,795.70	2,488.16
	3,096.67	2,789.83

B. Current

	As at March 31, 2026	As at March 31, 2025
(a) Advances received from customers	2,222.19	1,654.93
(b) Employee recoveries and employer contributions	39.94	41.54
(c) Statutory dues	10,128.57	10,826.37
(d) Other credit balances	795.60	778.97
	13,186.30	13,301.81

- (i) As on March 31, 2025, current advance from customer included an interest-bearing advance of ₹374.21 crore which has been adjusted against export of steel products. Amount of revenue recognised for the year ended March 31, 2026 in respect of such advances outstanding at the beginning of the year is **₹464.92** crore (2024-25: ₹1,465.61 crore).
- (ii) Statutory dues primarily relate to payables in respect of GST, excise duty, service tax, sales tax, electricity duty, water tax, VAT, tax deducted at source and royalties. It also includes provision for demand notices received against shortfall in dispatch of Chromite ore from the mines **₹818.01** crore (March 31, 2025: ₹818.01 crore). The demand notices have been challenged before the Hon'ble High Court of Orissa and as per the court direction, an amount of **₹218.50** crore (March 31, 2025: ₹218.50 crore) has been paid under protest.
- (iii) Non-current and current other credit balance includes GST compensation cess and interest thereon amounting to **₹2,727.11** crore (March 31, 2025: ₹2,451.59 crore) and **₹754.60** crore (March 31, 2025: ₹750.00 crore) against sale of property, plant and equipment.

27. Trade payables

[Item No. VI(a)(iii), Page F143]

A. Total outstanding dues of micro and small enterprises

	As at March 31, 2026	As at March 31, 2025
Dues of micro and small enterprises	1,898.89	1,510.71
	1,898.89	1,510.71

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27. Trade payables (Contd.)

[Item No. VI(a)(iii), Page F143]

B. Total outstanding dues of creditors other than micro and small enterprises

	As at March 31, 2026	As at March 31, 2025
(a) Creditors for supplies and services	32,613.49	27,465.15
(b) Acceptances	297.76	338.52
	32,911.25	27,803.67

C. Ageing of trade payables is as below:

As at March 31, 2026

	Not due	Outstanding for the following periods from the due date of payment				Total
		Less than 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed dues - micro and small enterprises	1,356.37	40.70	-	-	-	1,397.07
Undisputed dues - others	23,826.29	3,455.73	164.65	35.52	42.44	27,524.63
Disputed dues - micro and small enterprises	-	-	-	-	-	-
Disputed dues - others	0.39	-	-	-	18.55	18.94
	25,183.05	3,496.43	164.65	35.52	60.99	28,940.64
Add: Unbilled dues*						5,869.50
Total trade payables						34,810.14

*Included dues of ₹501.81 crore from micro and small enterprises.

As at March 31, 2025

	Not due	Outstanding for the following periods from the due date of payment				Total
		Less than 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed dues - micro and small enterprises	1,106.27	82.27	-	-	1.65	1,190.19
Undisputed dues - others	19,476.55	3,254.08	81.85	18.13	48.71	22,879.32
Disputed dues - micro and small enterprises	-	-	-	-	-	-
Disputed dues - others	0.22	-	-	0.18	18.17	18.57
	20,583.04	3,336.35	81.85	18.31	68.53	24,088.08
Add: Unbilled dues*						5,226.30
Total trade payables						29,314.38

*Included dues of ₹320.52 crore from micro and small enterprises.

- (i) The Group has trade payables balance amounting to ₹881.46 crore which are part of supplier finance arrangements, wherein the suppliers entitled to avail early payment. Out of the above supplier has received payment of ₹775.45 crore as at March 31, 2026 from the finance provider. The credit period ranges between 30-60 days which is comparable to the credit period offered by other suppliers.

There is no non-cash changes in the carrying amounts of the financial liabilities which form part of supplier finance. There were no material business combinations or foreign exchange differences that would affect the liabilities under the supplier finance arrangement in either period.

Further, the Group has not provided comparative information in respect of the amendments to Ind AS 7 and Ind AS 107 relating to supplier finance arrangements, as it has applied the transitional relief available on initial adoption of these amendments, which allows entities not to present comparative disclosures for prior periods.

- (ii) Acceptances of ₹297.76 crore includes acceptances of ₹162.28 crore which do not form part of supplier finance arrangements.

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28. Revenue from operations

[Item No. I, Page F144]

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
(a) Sale of products	2,28,149.99	2,14,616.50
(b) Sale of power and water	1,955.95	1,927.56
(c) Income from services	187.53	296.29
(d) Other operating revenues ⁽ⁱⁱ⁾	1,846.47	1,702.16
	2,32,139.94	2,18,542.51

- (i) Revenue from contracts with customers disaggregated on the basis of geographical regions and major businesses is as below:

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
(a) India	1,28,972.88	1,24,665.57
(b) Outside India	1,01,320.59	92,174.78
	2,30,293.47	2,16,840.35

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
(a) Steel	2,19,940.86	2,02,984.75
(b) Power and Water	1,955.95	1,927.56
(c) Others	8,396.66	11,928.04
	2,30,293.47	2,16,840.35

Revenue outside India includes (a) Asia excluding India **₹8,498.01** crore (2024-25: ₹11,638.74 crore), (b) UK **₹15,313.57** crore (2024-25: ₹15,469.55 crore) and (c) other European countries **₹53,720.85** crore (2024-25: ₹51,127.53 crore).

- (ii) Other operating revenues include income from export and other incentives schemes.
- (iii) There are no significant adjustment between the contracted price and the revenue recognised.

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29. Other income

[Item No. II, Page F144]

	Year ended March 31, 2026	Year ended March 31, 2025
	(₹ crore)	
(a) Dividend income	106.76	71.41
(b) Interest income	727.05	794.55
(c) Net gain/(loss) on sale/fair value changes of mutual funds	179.44	242.63
(d) Gain/(loss) on sale of property, plant and equipment including intangible assets (net of loss on assets scrapped/written off)	61.17	225.98
(e) Gain/(loss) on cancellation of forwards, swaps and options	109.59	69.81
(f) Other miscellaneous income	217.77	136.15
	1,401.78	1,540.53

(i) Dividend income includes income from investments carried at fair value through other comprehensive income of **₹101.91** crore (2024-25: ₹64.74 crore)

(ii) Interest income includes:

(a) income from financial assets carried at amortised cost of **₹727.05** crore (2024-25: ₹780.36 crore).

(b) income from financial assets carried at fair value through profit and loss **Nil** (2024-25: ₹14.19 crore).

30. Employee benefits expense

[Item No. IV(d), Page F144]

	Year ended March 31, 2026	Year ended March 31, 2025
	(₹ crore)	
(a) Salaries and wages	20,357.57	19,542.84
(b) Contribution to provident and other funds	4,514.01	4,215.68
(c) Staff welfare expenses	1,127.40	1,130.47
	25,998.98	24,888.99

During the year ended March 31, 2026, the Company has recognised an amount of **₹40.66** crore (2024-25: ₹32.91 crore) as remuneration to key managerial personnel. The details of such remuneration are as below:

	Year ended March 31, 2026	Year ended March 31, 2025
	(₹ crore)	
(a) Short-term employee benefits	37.05	31.29
(b) Post-employment benefits	3.60	1.50
(c) Other long-term employee benefits	0.01	0.12
	40.66	32.91

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31. Finance costs

[Item No. IV(e), Page F144]

	Year ended March 31, 2026	Year ended March 31, 2025
(₹ crore)		
Interest expense on:		
(a) Bonds, debentures, bank borrowings and others	7,663.36	7,892.18
(b) Lease obligations	547.83	518.76
	8,211.19	8,410.94
Less: Interest capitalised	1,044.13	1,069.99
	7,167.06	7,340.95

32. Depreciation and amortisation expense

[Item No. IV(f), Page F144]

	Year ended March 31, 2026	Year ended March 31, 2025
(₹ crore)		
(a) Depreciation on property, plant and equipment and amortisation of other intangible assets	10,766.14	9,512.13
(b) Depreciation on right-of-use assets	1,190.87	914.26
Less: Amount released from grants received	2.50	5.06
	11,954.51	10,421.33

33. Other expenses

[Item No. IV(g), Page F144]

	Year ended March 31, 2026	Year ended March 31, 2025
(₹ crore)		
(a) Consumption of stores and spares*	10,428.46	10,978.88
(b) Repairs and maintenance	9,615.51	10,717.11
(c) Relining expenses	282.92	304.54
(d) Power, fuel and industrial gases	14,333.15	13,124.85
(e) Conversion charges	3,213.23	3,053.63
(f) Freight and handling charges	13,945.84	13,646.34
(g) Rent and hire charges	3,099.22	3,461.90
(h) Mining premium and royalties	5,681.56	5,340.06
(i) Rates and taxes	3,492.14	2,288.33
(j) Insurance charges	756.05	680.91
(k) Commission	320.02	366.06
(l) Allowance for credit losses/provision for advances	106.63	9.28
(m) Others	13,864.48	10,728.10
	79,139.21	74,699.99

*Net of capitalisation of ₹3,925.27 crore (2024-25: ₹5,910.24 crore)

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33. Other expenses (Contd.)

[Item No. IV(g), Page F144]

- (i) Others include: net foreign exchange gain **₹424.17** crore (2024-25: ₹419.53 crore) and reversal of provision for claims no longer required back **Nil** (2024-25: ₹1860.39 crore)
- (ii) During the year ended March 31, 2026, the Company has recognised an amount of **₹9.01** crore (2024-25: ₹7.95 crore) towards payment to non-executive directors. The details are as below:

	Year ended March 31, 2026	Year ended March 31, 2025
(a) Short-term benefits	8.60	7.50
(b) Sitting fees	0.41	0.45
	9.01	7.95

- (iii) Revenue expenditure charged to the consolidated statement of profit and loss in respect of research and development activities undertaken during the year is **₹1,456.25** crore (2024-25: ₹916.06 crore).

34. Exceptional items

[Item No. VII, Page F144]

Exceptional items are those which are considered for separate disclosure in the financial statements considering their size, nature or incidence. Such items included within the consolidated statement of profit and loss are detailed below:

- (a) Profit/(loss) on sale of subsidiaries/non-current investments/business undertakings/non-current assets represents profit of **₹322.08** crore profit on sale of Jajpur plant within Indian operations (refer note 50, page F265) and loss of **₹13.73** crore on disposal of a subsidiary forming part of Indian operations (refer note 39, page F241) (2024-25: loss of ₹7.05 crore on disposal of offshore joint venture forming part of the Group's European operations and profit on sale of non-current assets of ₹61.89 crore within Group's South-East Asian operations).
- (b) Provision for impairment of non-current assets includes impairment recognised in respect of property, plant and equipment (including capital work-in-progress), right-of-use assets, intangible assets and other assets of **₹210.71** crore pertaining to Group's Indian operations, **₹62.77** crore within the Group's European operations and **₹50.29** crore within the Group's Canadian operations. (2024-25: provision for impairment of non-current assets includes ₹119.18 crore within the Group's European operations).
- (c) Statutory impact of new labour codes **₹85.37** crore (2024-25: Nil) (refer note 46, page F264).
- (d) Restructuring, redundancy and other provisions (net) includes Employee separation compensation of **₹485.22** crore (2024-25: ₹691.65 crore) relates to provisions recognised in respect of early separation of employee within the Group's Indian operations, Restructuring and other provisions of **₹994.22** crore (2024-25: ₹57.70 crore) pertaining to the Group's European operations, and demand & claims of **₹379.03** crore (2024-25: Nil) within Group's European operations.
- (e) Contribution made in progressive electoral trust for the year ended March 31, 2025 ₹173.11 crore.
- (f) Gain/(loss) on non-current investments includes gain on fair valuation of existing stake in Tata Steel Colors Private Limited **₹901.13** crore and gain on non-current investments classified as fair value through profit and loss **₹25.67** crore (2024-25: gain ₹16.76 crore) represents fair value changes of investments in preference shares held by Group.

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35. Earnings per share

[Item No. XV, Page F145]

The following table reflects the profit/(loss) and shares data used in the computation of basic and diluted earnings per share (EPS).

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
(a) Profit for the year attributable to the owners of the Company	10,793.87	3,420.51
Profit attributable to the Ordinary shareholders - for basic and diluted EPS	10,793.87	3,420.51
	Nos.	Nos.
(b) Weighted average number of Ordinary shares for basic EPS	12,47,18,47,611	12,47,18,47,611
Add: Adjustment for shares held in abeyance	36,33,051	35,17,726
Weighted average number of Ordinary shares and potential Ordinary shares for diluted EPS	12,47,54,80,662	12,47,53,65,337
(c) Nominal value of Ordinary Shares (₹)	1.00	1.00
(d) Basic earnings per Ordinary Share (₹)	8.65	2.74
(e) Diluted earnings per Ordinary Share (₹)	8.65	2.74

36. Employee benefits

A. Defined contribution plans

The Group participates in a number of defined contribution plans on behalf of relevant personnel. Any expense recognised in relation to these schemes represents the value of contributions payable during the period by the Group at rates specified by the rules of those plans. The only amounts included in the consolidated balance sheet are those relating to the prior months contributions that were not due to be paid until after the end of the reporting period.

The major defined contribution plans operated by the Group are as below:

(a) Provident fund and pension

The Company and its Indian subsidiaries provide provident fund benefits for eligible employees as per applicable regulations wherein both employees and the Company/Indian subsidiaries make monthly contributions at a specified percentage of the eligible employees' salary. Contributions under such schemes are made either to a provident fund set up as an irrevocable trust by the Company/Indian subsidiaries to manage the investments and distribute the amounts entitled to employees or to state managed funds.

Benefits provided under plans wherein contributions are made to state managed funds and the Company/Indian subsidiaries do not have a future obligation to make good short fall if any, are treated as a defined contribution plan.

(b) Superannuation fund

The Company and some of its Indian subsidiaries have a superannuation plan for the benefit of its employees. Employees who are members of the superannuation plan are entitled to benefits depending on the years of service and salary drawn.

Separate irrevocable trusts are generally maintained for employees covered and entitled to benefits. The Company and its Indian subsidiaries contribute up to 15% of the eligible employees' salary or ₹1,50,000, whichever is lower, to the trust every year. Such contributions are recognised as an expense as and when incurred. The Company and its Indian subsidiaries does not have any further obligations beyond this contribution.

The contributions recognised as an expense in the consolidated statement of profit and loss during the year on account of the above defined contribution plans amounted to **₹1,955.95** crore (2024-25: ₹1,825.37 crore).

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36. Employee benefits (Contd.)

B. Defined benefit plans

The defined benefit plans operated by the Group are as below:

(a) Provident fund and pension

Provident fund benefits provided under plans wherein contributions are made to an irrevocable trust set up by the Company/Indian subsidiaries to manage the investments and distribute the amounts entitled to employees are treated as a defined benefit plan as the Company/Indian subsidiaries are obligated to provide the members a rate of return which should, at the minimum, meet the interest rate declared by Government administered provident fund as per the Employees' Provident Funds and Miscellaneous Provisions Act, 1952. A part of the Company's/Indian subsidiaries' contribution is transferred to Government administered pension fund. The contributions made by the Company/Indian subsidiaries and the shortfall of interest, if any, are recognised as an expense in the consolidated statement of profit and loss under employee benefits expense.

In accordance with an actuarial valuation of provident fund liabilities based on guidance issued by Actuarial Society of India and based on the assumptions as mentioned below, there is deficiency of ₹24.42 crore (March 31, 2025: ₹24.42 crore) in the interest cost in respect of the entities merged with the Company in earlier periods, as the present value of the expected future earnings of the fund is lesser than the expected amount to be credited to the individual members based on the expected guaranteed rate of interest of Government administered provident fund.

Key assumptions used for actuarial valuation are as below:

	As at March 31, 2026	As at March 31, 2025
Discount rate	6.90%-7.00%	6.60%
Guaranteed rate of return	8.25%	8.25%
Expected Rate of return on investment	7.25%-8.30%	7.25%-8.15%

(b) Retiring gratuity

The Company and its Indian subsidiaries have an obligation towards gratuity, a defined benefit retirement plan covering eligible employees as per The Payment of Gratuity Act, 1972. The plan provides for a lump-sum payment to vested employees at retirement, death while in employment or on termination of employment of an amount equivalent to 15 to 30 days wage payable for each completed year of service. Vesting occurs upon completion of five years of service for permanent employees and one year of service for fixed term employees. The Company and its Indian subsidiaries make annual contributions to gratuity funds established as trusts or insurance companies. The Company and its Indian subsidiaries accounts for the liability for gratuity benefits payable in the future based on an actuarial valuation.

(c) Post-retirement medical benefits

Under this unfunded scheme, employees of the Company and some of its subsidiaries receive medical benefits subject to certain limits on amounts of benefits, periods after retirement and types of benefits, depending on their grade and location at the time of retirement. Employees separated from the Company and its subsidiaries under an early separation scheme, on medical grounds or due to permanent disablement are also covered under the scheme. The Company and such subsidiaries account for the liability for post-retirement medical scheme based on an actuarial valuation.

(d) Tata Steel Europe's pension plan

Tata Steel Europe (TSE), a wholly owned indirect subsidiary of the Company, operates a number of defined benefit pension and post-retirement schemes. The benefits offered by these schemes are largely based on pensionable pay and years of service at retirement. With the exception of certain unfunded arrangements, the assets of these schemes are held in administered funds that are legally separated from Tata Steel Europe. For those pension schemes set up under a trust, the trustees are required by law to act in the best interests of the schemes beneficiaries in accordance with the

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36. Employee benefits (Contd.)

scheme rules and relevant pension legislation. The trustees are generally responsible for the investment policy with regard to the assets of the fund, after consulting with the sponsoring employer.

TSE accounts for all pension and post-retirement defined benefit arrangements using Ind AS 19 'Employee Benefits', with independent actuaries being used to calculate the costs, assets and liabilities to be recognised in relation to these schemes. The present value of the defined benefit obligation, the current service cost and past service costs are calculated by these actuaries using the Projected unit credit method. However, the ongoing funding arrangements of each scheme, in place to meet their long-term pension liabilities, are governed by the individual scheme documentation and national legislation. The accounting and disclosure requirements of Ind AS 19 "Employee benefits" do not affect these funding arrangements.

The principal defined benefit pension scheme for TSUK is the British Steel Pension Scheme ('BSPS'), which is the main scheme for previous and present employees based in the UK. Benefits offered by this scheme are based on final earnings and years of service at retirement. The assets of this scheme are held in separately administered fund.

The British Steel Pension Scheme ('BSPS') is the legacy defined benefit pension scheme in the UK and is closed to future accrual. The current Scheme is the successor to the old BSPS which entered a PPF assessment period in March 2018 following a Regulated Apportionment Arrangement ('RAA') which separated the old BSPS from TSUK. The current Scheme was created on March 28, 2018 when 69% of the members of the old Scheme transferred into the current Scheme. The Scheme is sponsored by TSUK and at the end of March 2025 had around 62,000 members of which 80% were pensioners with benefits in payment. Although TSUK has a legal obligation to fund any future deficit, a key condition of the new BSPS going forward was that it was sufficiently well funded to meet the Scheme's modified liabilities on a self-sufficiency basis with a buffer to cover residual risks.

In previous years the scheme has entered into a number of buy-in transactions with an external insurer and, on May 17, 2023, the BSPS completed a final buy-in transaction which ensured that all liabilities of the Scheme are fully insured. The funding levels secured as part of these arrangements enabled the Trustee to award an uplift equivalent to 3% of liabilities from February 2024 in order to restore an element of member benefits which were foregone as part of the RAA. The final buy-in also included the purchase of an insurance policy on an "all risks" basis whereby any risks for data cleanse items (e.g. impact of Guaranteed Minimum Pension and Barber equalisation) and residual risks (e.g. whether any members claim that their benefit calculations are incorrect) were passed on to the insurer.

During 2025-26 further progress was made with the steps required in order to fully de-risk the Scheme with an allocation of ₹2,181.99 crore. of surplus Scheme funds being made to augment member benefits and, on March 31, 2026, the completion of a full buy-out of the Scheme's liabilities with the external insurer. The buy-out reflects the successful completion of the Company's and Scheme's main objective since the RAA and has been completed ahead of schedule whilst delivering additional benefits for members beyond those specified at the time of the Scheme's inception.

As at the date of the buy-out, all members of the Scheme transferred to the external insurer such that a settlement of the Defined Benefit Obligation of ₹65,532.04 crore has been recognised as at March 31, 2026 with a corresponding reduction in plan assets (comprising all of the insurance policies) such that there was no gain or loss on settlement. As at March 31, 2026 the Scheme has around ₹100.36 crore worth of assets remaining which are expected to be utilised to cover the remaining running and wind-up costs of the Scheme which is expected to be completed by March 31, 2027.

On September 29, 2023, TSUK and the Scheme Trustee signed a Deed of Amendment that stipulated that the Trustee shall apply any surplus assets at the time of winding up of the Scheme to augment